

**Teaching Material
for the course
Fundamentals of
Accounting-I**

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Chapter One

General Introduction to Accounting

1.1) Definition Of Accounting

Accounting is defined as the process of identifying, measuring, recording, classifying, summarizing, analyzing and interpreting economic events (financial transactions) and communicating the results thereof to the entities interested in such information to enable them make informed judgments. The analysis the definition is as follows:

- **Identifying-** to distinguish an event or a transaction that must be recorded.
- **Measuring-** quantifying an event or a transaction i.e. accounting deals with only those transactions and events that can be expressed in terms of money.
- **Recording-** this is the basic function of accounting. It is essentially concerned with not only ensuring that all business transactions of financial character are in fact recorded but also that they are recorded in an orderly manner.
- **Classifying-** it is concerned with the systematic analysis of the recorded data with a view to group transactions or entries of one nature at one place.
- **Summarizing-** this involves presenting the classified data in a manner which is understandable and useful to the internal as well as external end users of accounting statements or other accounting information
- **Analyzing-** means methodical classification of the data given in the financial statements. For example, all items relating to “current assets” are put at one place.
- **Interpreting-** explaining the meaning and significance of the data so simplified and analyzed
- **Communicating-** the accounting information after being meaningfully analyzed and interpreted has to be communicated in a proper form and manner to the proper person.

Accounting: The Language of Business

Accounting has rightly been termed as the language of the business. Accounting is used to communicate financial information to various parties who have some stake (interest) in the affairs of the business.

1.2) Evolution of Accounting

Similar to medicine, law, economics, and accounting has evolved in response to the social and economic needs of society. As business and society have

become more complex over the years, many complex economic development and social programs can not be undertaken due to shortage of financial information. There fore, accounting has evolved to develop new concepts and techniques to meet the ever increasing needs for financial information.

❖ **Primitive Accounting**

In the civilization of human being, various types of records of business activities have been maintained. Of these, the oldest known is Clay Tablet records of the payment of wages in Babylonia around 3600 B.C. There are numerous evidences of record keeping and systems of accounting control in Egypt and Greek City States. In England, under the direction of King William the 12th records were compiled to ascertain the financial resources of the kingdom.

Drawbacks of the Primitive Accounting:

- I. It dealt with limited aspects of the financial operations of private or government enterprises.
- II. There was no systematic accounting for all transaction of a particular unit i.e. only for specific type or portion of transaction

❖ **Double Entry System Accounting**

Since the primitive accounting was incomplete, the evolution of the system of record keeping which was said to be called “Double Entry System” was strongly influenced by Venetian merchants. Double entry system is the recordings process of a transaction into two parts. The first known description of the system was published in Italy in 1494 by a person called LUCA PACIOLI

Double Entry System provides:

1. For all business transaction, recording in a systematic manner i.e. to establish in an equilibrium. For example, if a business borrowed Br 500 from a bank, the amount of the loan is recorded both as cash of Br 500 and an obligation to repay Br 500. Either of the Br 500 amount is balanced by the other Br 500 amount. In double entry system, every transaction entered twice in the books of accounts as means of check and control.

2. For the set of integrated financial statements, reporting in money terms

In spite of the tremendous development of business operations since 1494, and the ever increasing complexities of business and governmental organizations, the basic elements of Double Entry System have continued virtually unchanged.

Reading Assignment: the contribution of industrial revolution to the development of accounting

1.3) Profession of Accountancy

To say a field of study is a profession, there must be accumulated body of knowledge (scientific knowledge) and an individual should engage in it to get earning unlike hobby. Based on these two criteria accounting is definitely a profession. There are employment opportunities in accounting and are expected to continue to grow and expand as businesses are growing and expanding from time to time. There are two types of job opportunities in accounting:

1. Private Accounting
2. Public Accounting

Private Accounting: accountants employed by a business firm or not for profit organization are said to be engaged in private accounting. These accountants provide accounting services to one organization a salary basis and do a variety of work including financial accounting, management and cost accounting, budgeting, internal auditing, controller and others.

Public Accounting: accountants and their staff who provide services on a fee basis are said to be engaged in public accounting. Public accountant are independent professional persons and provide accounting service to many clients. They provide service such as:

1. Auditing-providing an opinion as to fairness and truth-ness financial reports
2. Management advisory services-to offer constructive suggestions for improving a company's method of operations
3. Accounting System Development- developing an AS a private or public enterprises

Reading Assignment: specialized accounting fields such as financial accounting, auditing, cost accounting, managerial accounting, tax accounting, accounting systems, budgetary accounting, international accounting, not-for-profit accounting, social accounting and accounting instruction

1.4) Types and forms of business organization in Ethiopia

✓ Forms of business organizations

There are three different legal forms of business organization: those are

1. **Sole proprietorship:** -is a business owned and managed by single individual.

Advantages:

- Easy to establish the business

- It is least regulated by government
- No profit sharing

Disadvantages:

- Limited life
- Limited capital to finance business operation
- Unlimited liability the owner is responsible to pay the debt of the business even from his personal asset in case the business unable to meet its liability)

2. **Partnership:** - is business organization established by two or more persons.

Advantages:

- Easier and less expensive to establish than corporation
- Are not highly regulated by government
- More capital and managerial skill than a single proprietor ship

Disadvantages:

- Limited life
- Unlimited liability (the partners are responsible to pay the debt of the business even from their personal assets in case the business unable to meet its liability)
- Conflict between partners throughout operating the business.

3. **Corporation:** - is a business organized as a separate legal entity under state corporation law with ownership divided into transferable shares of stock.

Advantages:

- Long life
- Limited liability
- Can raise huge amount of capital to finance business operation

Disadvantages:

- Double taxation
- Highly regulated by government
- Difficulty of controlling management, because ownership and management is divorced in corporation.

✓ **Types of Business Organizations**

According to their type of activities or nature of operations, business organizations are also classified in to three main types:

1. **Service rendering businesses:** - are business organizations that are predominantly engaged in rendering of services to customers for the purpose of maximizing profit.

Examples: Hotels, restaurants, cafeterias, bars, transport and

communication services, professional firms like consultations by accountants, lawyers, engineers etc.

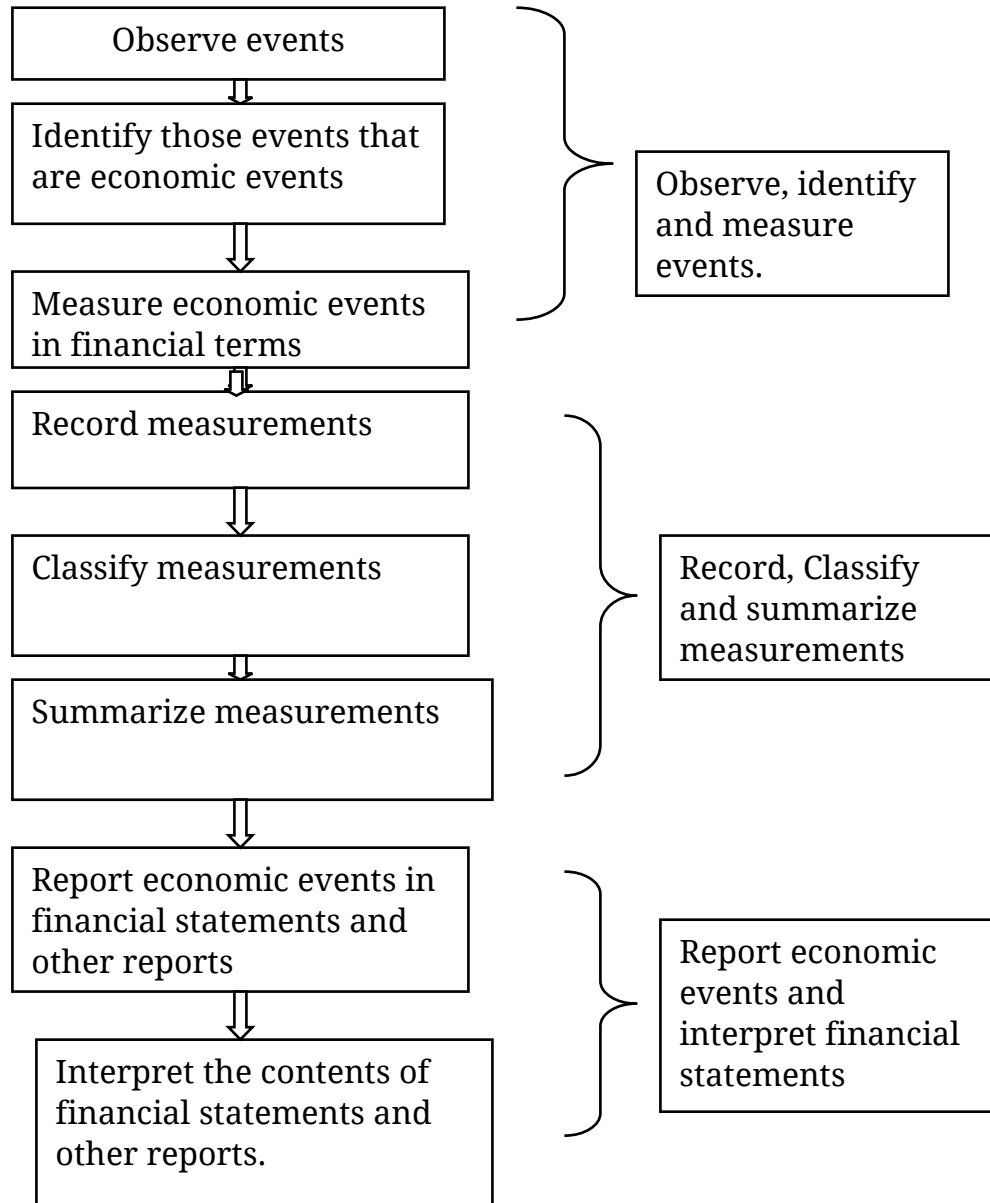
2. **Merchandising businesses:** - is profit seeking businesses, which are engaged in purchasing and reselling of merchandises.

Examples: Supermarkets, boutiques, garment and shoe shops, drug stores, stationary shops, auto spare parts, importers, exporters etc.

3. **Manufacturing businesses:** - are business organizations that are primarily involved in the conversion of raw materials and parts in to finished goods; and sale their finished goods to merchandising enterprises and consumers. Sometimes, they sale goods to other manufacturing firms, which utilize the goods as raw materials for production activities.

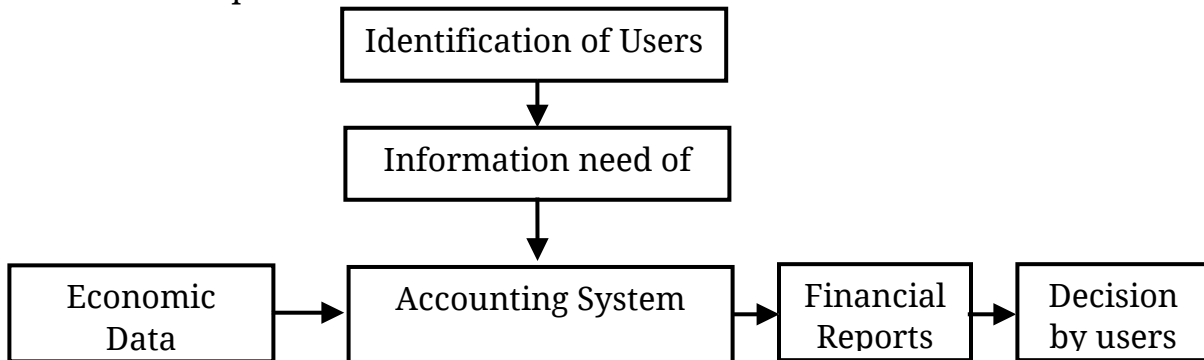
Examples: Cement factories, sugar factories, soap factories, textile factories, paper factories, etc.

Accounting Functions Performed by accountants



1.5) Accounting as Information Systems

In order to provide information an entity must establish its own accounting system. An accounting system consists of methods and devices used by an entity to keep track its financial activities and summarize in a manner useful to decision makers. The process of forming an accounting system to provide information is performed as follows:



Step-1: Identification of Users of Accounting Information

Individuals or organizations who/which have stake (interest) in accounting information of a business to make sound decisions are called users of accounting information. They will receive different reports a business to make decision and are classified in to two: (1) **Internal users** and (2) **External users**

1. **Internal Users:** are individuals within an organization or business entity that need accounting information of the business for the affairs of the business. Internal users are responsible for the administration of the business and include the following management, BOD, department head, corporate officer like chief executive officers and chief operating officers and chief financial officers. Management need an accounting information:
 - To plan future operation
 - To evaluate and control current operation
 - To know the profitability of each department
 - To know the company's cash position
 - To know the trend of earnings
 - To assess whether spending kept within the budget limit or not (especially in NGO and Governmental organization)
 - To assure whether expenditure are authorized or not (governmental and not-for-profit organization)
2. **External Users:** are those individual or institutions inside or outside an economic entity who/which need accounting information about that entity for their own affair. They need accounting information for their benefit. This group include: owners of the business, potential investors, bankers,

suppliers and other creditors, employees and labor union, governmental agencies, etc.

Owners need accounting information:

- To know the operating results of the business
- To know its financial position

Potential investors need accounting information a business to:

- Assess the risk ness of the investment
- Predict its future prosperities

Bankers need accounting information to

- Evaluate the financial soundness of a business organization
- Assess risks involved in giving loans

Suppliers need accounting information to:

- Decide whether to sell or not to sell goods and services on credit basis

Employees and labor union need accounting information before beginning negotiation of for new labor contract to know:

- The financial position of a businesses
- The profitability of a business
- The stability of a business

Governmental Agencies need accounting information for purpose of determining income tax payable and pension contribution of an employee

Step-2: Information Need of Users

This to determine the information needs of internal users i.e. the type of information needed by internal or external stakeholders should be identified by information provider before information is provided to users.

Step-3: Information Processing

The information need of users determine the economic data to be gathered and processed by accounting system. Then the accounting system generate reports that communicate essential information to users

1.6) Accounting Principles and Practices

Experienced professional accountants contribute their best thinking to the solution of problem continually confronting their staff or employees. Professional association periodically issue pronouncements on accounting principles and concepts. Accounting principles or standards are conventional rules and regulations that govern actions in undertaking accounting activities. Concepts are basic assumption up on which the science of accounting is based. Practices are the application of accounting principles and concepts to specific accounting situation. The most important concepts and principles are:

1.6.1. Overview of international financial reporting standards

(IFRS)

International Financial Reporting Standards. Financial accounting standards issued by

the IASB are referred to as International Financial Reporting Standards (IFRS).

Financial reporting

- » General purpose financial reporting
 - » aims to provide useful financial information about the reporting entity to primary users who cannot require the reporting entity to provide information directly to them.
- » Special purpose financial reporting
 - » responds to the requirements of users that have the authority to require the reporting entity to provide the information that they need for their purposes directly to them. Examples include:
 - » prudential regulation reporting requirements
 - » tax reporting requirements

International Financial Reporting Standards (IFRS)*

- » Designed for general purpose financial reporting by profit-oriented entities
 - » might be found to be appropriate for not-for-profit activities too
- » Focused on information needs of (primary users) **existing and potential investors, lenders and other creditors who cannot require information from the entity**
 - » information to enable primary users to make their own assessments of the reporting entity's prospects for future net cash inflows
 - » as a basis for their decisions to buy, hold, sell equity and debt instruments or to provide a loan or to require settlement of a loan

1.6.2. Basic Assumptions and accounting principles

The five basic assumptions in turn: (1) **economic entity**, (2) **going concern**, (3) **monetary unit**, (4) **periodicity**, and (5) **accrual basis**.

Economic Entity Assumption

The **economic entity assumption** means that economic activity can be identified with

a particular unit of accountability. In other words, a company keeps its activity separate and distinct from its owners and any other business unit. Thus, **the entity concept does not necessarily refer to a legal entity**. A parent and its subsidiaries are separate **legal** entities, but merging their activities for accounting and reporting purposes does not violate the **economic entity** assumption

Going Concern Assumption

Most accounting methods rely on the **going concern assumption**—that **the company will have a long life**. Despite numerous business failures, most companies have a fairly high continuance rate. As a rule, we expect companies to last long enough to fulfill their objectives and commitments.

Monetary Unit Assumption

The **monetary unit assumption** means that money is the common denominator of economic activity and provides an appropriate basis for accounting measurement and analysis. That is, the monetary unit is the most effective means of expressing to interested parties changes in capital and exchanges of goods and services

Periodicity Assumption

To measure the results of a company's activity accurately, we would need to wait until it liquidates. Decision-makers, however, cannot wait that long for such information. Users need to know a company's performance and economic status on a timely basis so that they can evaluate and compare companies, and take appropriate actions. Therefore, companies must report information periodically. The **periodicity** (or **time period**) **assumption** implies that a

company can divide its economic activities into artificial time periods. These time periods vary, but the most common are monthly, quarterly, and yearly

Accrual Basis of Accounting

Companies prepare financial statements using the accrual basis of accounting. **Accrual basis accounting** means that transactions that change a company's financial statements are recorded in the periods in which the events occur

Basic Principles of Accounting

There are four basic **principles of accounting** to record and report transactions: (1) **measurement**, (2) **revenue recognition**, (3) **expense recognition**, and (4) **full disclosure**. We look at each in turn

Measurement Principles

The most commonly used measurements are based on historical cost and fair value. Selection of which principle to follow generally reflects a trade-off between relevance and faithful representation.

Historical Cost. IFRS requires that companies account for and report many assets and liabilities on the basis of acquisition price. This is often referred to as the **historical cost principle**. Cost has an important advantage over other valuations: **It is generally thought to be a faithful representation of the amount paid for a given item.**

Fair Value. **Fair value** is defined as “the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.” Fair value is therefore a market-based measure (exit price). Recently, IFRS has increasingly called for use of fair value measurements in the financial statements. The IASB believes that fair value information is more relevant to users than historical cost.

Revenue Recognition Principle

Revenue refers to increases in economic benefits during the accounting period in the form of **enhancements of assets or decreases of liabilities** that result in increases in equity, other than those relating to contributions from equity

participants. *When the company satisfies the performance obligation, it should recognize revenue.*

Expense Recognition Principle

Expenses refers to decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. Expenses should be recognized in the period in which they are incurred.

Full Disclosure Principle

In deciding what information to report, companies follow the general practice of providing information that is of sufficient importance to influence the judgment and decisions of an informed user. Often referred to as the **full disclosure principle**, it recognizes that the nature and amount of information included in financial reports reflects a series of judgmental trade-offs.

1.7) Business Transaction and the Accounting Equation

1.7.1 Business Transaction

Business transactions are events or conditions that must be recorded in terms of money in accounting records.

- Events-payments or a promise to make payment or receipts or acceptance of a promise to receive cash within a specified period of time in exchange for goods and services
- Conditions- the tearing and wearing out of long lived properties of a business i.e. decrease in usefulness of long lived property.

Example:

- Monthly electricity bill of Br 100
- The acquisition of a land and a building for Br 250,000

Nature of Business Transaction

- ❖ Business transaction could be Simple or complex
- ❖ Business transaction could be Internal or external
- ❖ Business transaction affects the financial position of a business and its operating results or at least it affects two items
- ❖ Business transaction must be supported by source documents (business papers). Source documents include sales invoice, receipts, checks, check stub, freight bill, and etc. Business documents normally contain information

as to the monetary amount to be recorded, the parties involved, the term of transaction and other relevant information such as nature and date of transactions.

1.7.2 The Accounting Equation

The whole of financial accounting is based on a very simple idea. This is called the accounting equation which sounds complicated but infact easy to understand. If a firm is to be set up or established definitely it need resources. In the first place let us assume that it is the owner of the business has supplied all of the resources. This can be shown:

$$\text{Resources in the Business} = \text{Resources Supplied by the Owner}$$

In accounting the term used to describe the resources supplied by the owner is called Owner's Equity. The term used to describe the actual resource in a business is called Asset. Thus, the accounting equation is:

$$\text{Assets} = \text{Owner's Equity}$$

In the second place let us assume that people other than the owner have supplied some of the resources (material or financial resources). Thus,

Resources in a Business =	Resources Supplied by the Owner	+	Resources Supplied by Others
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Liabilities are the term given to the amounts of resource supplied people other than the owners. This is amount of asset owed to others by the business. Thus the accounting equation is now changed to

$$\text{Assets} = \text{Owner's Equity} + \text{Liabilities}$$

However, liabilities are placed before Owner's Equity, in the accounting equation, because creditors have preferential right to the assets of the business. Thus, the accounting equation can be stated as:

$$\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$$

1.7.3 Definition of Terms Used in Business Transactions and Accounting Equation

Definition of elements of financial statements

ASSET. A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.eg cash ,account receivable, supplies equipment building etc

LIABILITY. A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits. Eg account payable, wage payable bond payable etc

EQUITY. The residual interest in the assets of the entity after deducting all its liabilities. The elements of income and expenses are defined as follows.

INCOME/Revenue. Increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in increases in equity, other than those relating to contributions from equity participants. eg sales, service income

EXPENSES. Decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrences of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. eg salary expense, rent expenses etc

Other related definition

- **Accounts receivable**-is money to be collected in the future. It is an asset that arises from the sell of goods and services on credit basis or on account.
- **Account payable**-is money to be paid in the future. It is a liability that arises from purchasing goods or services on account basis.
- **Prepaid expenses**- are assets which represent consumable goods purchased such as supplies, prepaid rent, prepaid insurance, prepaid interest
- **Revenue**-is a general term that stands for the amount of charge against customer for goods or services sold to them. Based on the source of revenue, it is classified into two: Miscellaneous Revenue and Principal Revenue. Revenue can have different names such as:
 1. Royalties- revenue from sale of franchise
 2. Fares revenue- a revenue generated by providing transportation service
 3. Fees revenue- by providing professional service
 4. Sales- revenue from sales of goods and services
 5. Rent revenue- from renting real-estate and other equipment
 6. Tuition fee- revenue from providing educational service
- **Net income/ net profit**-is the excess of revenue earned over the expenses in the process of generating revenue.
- **Net loss**- is the excess of expenses over the revenue earned during the period
- **Investment**- represent the cash or other assets put into the business by the owner of a sole proprietorship

- **Withdrawal (drawing)**-is the cash or any asset withdrawn (taken away) from the business by the owner for personal use. Withdrawal is recorded in accounting record of the business.

1.7.4 Accounting Equation and Business Transactions

The effect of business transaction on accounting equation can be demonstrated by taking some typical transactions.

Illustration: Mr. Hara established a Sole Proprietorship Business known as Hara Taxi on **August 1, 1995** and decided the fiscal year of the business to be from September 1 to August 31. During the first month of operation the following transactions occurred:

August 1: Hara deposited Br 300,000 in a bank account in the name of the business.

August 2: The owner purchased two taxis at Br 100,000 each for the business

August 4: Purchased a land as a future building sites for Br 7,500 paid in cash

August 7: Purchased Br 850 of gasoline, oil, and other supplies on account promising to pay in the future

August 10: Paid creditors on account Br 400

August 15: Hara Taxi earned fares revenue of Br 4,500 receiving the amount in cash.

August 21: The business paid the following expenses in cash:

- Wages expense..... Br 1,200
- Rent expense..... 850
- Utilities expense..... 150
- Miscellaneous expense..... 200

August 23: The business charged customers for the transportation service provided on account Br 2,000

August 28: Received cash from customers on account Br 1,500

August 30: Mr. Hara withdrawn Br 1,000 from the business in cash for personal use

August 31: At the end of the month the cost of supplies left on hand is Br 50

Instructions:

- 1) Indicate (show) the effect of each of the above transactions on accounting equation
- 2) Prepare the accounting statements

Assets						=	Liabilities + Capital		
Date	Cash	Accounts Receivable s	Supplies	Taxi	Land	=	Account s Payables	Owner's Equity	
August 1,	+300,000							300,000	
Balance	300,000					=		300,000	
August 2,	-200,00			+200,000					
Balance	100,000			200,000		=		300,000	
August 4,	-75,000				+75,000				
Balance	25,000			200,000	75,000	=		300,000	
August 7,			+850				+850		
Balance	25,000		850	200,000	75,000	=	850	300,000	
August 10,	-400						-400		
Balance	24,600		850	200,000	75,000	=	450	300,000	
August 15,	+4,500							+4,500	F.Revenue
Balance	29,100		850	200,000	75,000	=	450	304,500	
August 21,	-2,400							-1,200	W.Expense
								-850	W.Expense
								-200	W.Expense
								-150	W.Expense
Balance	26,700		850	200,000	75,000	=	450	302,100	
August 23,		+2,000						+2,000	F.Revenue
Balance	26,700	2,000	850	200,000	75,000	=	450	304,100	
August 28,	+1,500	-1,500							
Balance	28,200	500	850	200,000	75,000	=	450	304,100	
August 30,	-1,000							-1,000	Withdrawal
Balance	27,200	500	850	200,000	75,000	=	450	303,100	
August 31,	_____	_____	-800	_____	_____		_____	-800	S.Expense
Balance	<u>27,200</u>	<u>500</u>	<u>50</u>	<u>200,000</u>	<u>75,000</u>	=	<u>450</u>	<u>302,300</u>	

1.8) Accounting (Financial) Statements

Accounting statements are different summaries that communicate accounting information of a business to users. And include:

- Income statement
- Statement of owner's equity

- Balance sheet
- Cash flow statement

Financial statements are identified by three headings:

- The name of the business
- The title of the statement
- The specific date or period

1. Income Statement

This statement is a summary of revenues and expenses for the specific period of time. The procedure is the total expenses are deducted from the total of revenues to determine net loss or net income. For example, income statement for Hara Taxi

Hara Taxi Income Statement For the Year Ended August 31, 1995		
Fares Revenue.....		Br 6,500
Less: Expenses		
Wages Expense.....	1,200	
Rent Expense.....	850	
Utilities Expense.....	200	
Supplies Expense.....	800	
Miscellaneous Expense.....	150	
Total Expense.....		(3,200)
Net Income.....		<u>Br 3,300</u>

2. Capital Statement (Statement Of Owner's Equity)

This statement is a summary which shows change in owner's equity or capital. For Hara Taxi the capital statement is as follows:

Hara Taxi Statement of Owner's Equity For the period ended August 31, 1995		
Hara Capital, August 1, 1995.....		Br 200,000
Add: Additional Investment.....	Br 100,000	
Add: Net Income.....	3,300	
Less: Withdrawal.....	<u>(1,000)</u>	
Net Increase In Capital.....		<u>102,300</u>
Hara Capital, August 31, 1995.....		<u>Br 302,300</u>

3. BALANCE SHEET

Balance Sheet is a statement that shows the financial position of a business on a specific date. It lists Assets, Liabilities and Capital on any specific date, which is the last date of the accounting period.

Hara Taxi Balance Sheet August 31, 1995			
Assets:	In Birr	Liabilities and Capital	In Birr
Cash.....	27,200	Liabilities:	
A/Receivables.....	500	A/Payables.....	450
Supplies.....	50		
Land.....	75,000	Capital:	
Taxi.....	200,00	Hara, Capital.....	302,30
	0		0
Total Assets.....	302,75	Total liabilities + OE.....	302,75
	0		0

4. Cash Flows Statement

Cash flows statement is a summary of cash inflows (Cash receipts) and Cash outflows (Cash payments) for a specific period of time. It is reported in three sections:

- Cash flows from operating activities
- Cash flows from investing activities
- Cash flows form financing activities

Hara Taxi Statement of Cash Flows For the Year ended August 31, 1995		
Cash Flows From Operating Activities:		
Cash inflow from revenue.....	6,000	
Cash outflow for expense	(2,800)	
Net cash flows from operating activities.....		3,200
Cash Flows From Investing Activities:		
Cash inflow from investing.....	0.00	
Cash outflow for investing.....	(75,000)	
Net cash flows from investing activities.....		(75,000)
Cash Flows From Financing Activities:		
Cash inflow from financing.....	100,00	
	0	

Cash outflow from financing.....	<u>(1,000)</u>	
Net cash flows from financing activities.....		<u>99,000</u>
Cash Balance on August 31, 1995.....		<u><u>Br 27,200</u></u>

Chapter Two

Accounting for Service Rendering Businesses

2.1 Nature and Classification of Accounts

2.1.1. Nature of Accounts

The simplest way of providing accounting information or preparing financial statements is to record and summarize transactions on the accounting equation format. However, this format is awkward and cumbersome for recording and analyzing ten thousands of transactions to provide information. Thus, accountants accumulate the effects of individual transaction on a separate record for each item to meet the goal of providing information. These separate records show increases in the item, decreases in item and balance in item. The type of separate records used for the purpose of recording all transactions related to individual item is called **An Account**. A group of accounts is called ledger. The simplest form of an account has three parts:

- Title- the account name
- A space for recording the amount of increases in item in terms of money
- A space for recording the amount of decreases in item in terms of money

The left side of an account is called Debit Side and the word “Charge” sometimes used as a synonym for debit. Amounts entered in the left side of an account regardless of the account title are called debit and the account is said to be debited. The right side of an account is called credit side and the amount entered in the right side of an account is also called credit and the account is said to be credited.

2.1.1.2 . General Rules of Debit and Credit for Accounts

- F **Assets**-the increasing side of all assets account is the debit side and the decrease is the credit side.
- F **Liabilities**-the increase side of all liabilities is the credit side and the decreasing side is the debit side.
- F **Capital** -the increase side of capital account is the credit side and the decreasing side is the debit side.
- F **Revenue**- the increase side of all Revenue accounts is the credit side and the decreasing side is the debit side.
- F **Expenses** -the increasing side of all expenses account is the debit side and the decrease is the credit side.
- F **Drawing**- the increasing side drawing is the debit side and the decrease side is the credit side.

2.1.1.2. Normal Balance of Accounts

The sum of increases recorded in an account is usually greater than or equal to the sum of decreases recorded in an account. For this reason, the normal balance of all accounts is positive rather than negative. Thus, the normal balance of any account is the increasing side. Summaries Rules of Debit and Credit with normal balances of accounts

Items	Increasing Side	Decreasing Side	Normal Balance
Assets	Debit	Credit	Debit
Liabilities	Credit	Debit	Credit
Capital	Credit	Debit	Credit
Drawing	Debit	Credit	Debit
Revenues	Debit	Credit	Debit
Expenses	Debit	Credit	Debit

2.1.1.3 Classification Of Accounts

Accounts in a ledger are classified based on common characteristics as a balance sheet accounts or income statement accounts

Balance Sheet Accounts

Balance Sheet Accounts further classified into three and are listed in the ledger in the order of Assets, Liability and Owners Equity

A) Assets-assets are classified in the two groups as current assets and plant assets

- 1. Current Assets-**are any assets that may reasonably be realized in cash or sold or consumed within year or less period. For example: Cash, Accounts Receivable, supplies, commodities
- 2. Plant Assets-**these are used in the business operations and are of permanent nature. For example Equipments, machinery, building, furniture, land, etc

B) Liability- the two categories occurring most frequently are:

- 1. Current liabilities-** are liabilities that will be due within short period of time usually a year or less that have to be paid out current asset. For example: salary payable, interest payable, tax payable, and accounts payable
- 2. Long term liabilities-** are liabilities that will not be paid or due or matured comparatively for long period of time usually more than one year. For example mortgage payable, notes payable

C) Owner's Equity-is a residual claim against the asset of the business after liability is fully deducted. For a corporation owners' equity is called stock holder's equity. Drawing represents the amount of cash or other assets taken out of the business for personal use and it is one of the capital accounts.

Income Statement Accounts

Income Statement Accounts are classified into three and are listed in the order of revenue first and expense second.

Revenue is increase in capital by gross amount as a result of:

- Sale of goods and service
- Renting real-estate and other properties
- Providing professional service
- Sale of assets

Expenses – represent decreasing in capital by gross amount as a result of business operation. That is as a result of consuming assets or using up of services.

3.1) Chart of Accounts

Accounts are sequentially arranged and given number for use as references. The list of accounts along with their numbers showing the sequence of account in the ledger is called **Chart of Accounts**. According to their order in the financial statements asset comes first and then followed by liabilities, capital, revenues and expenses. The chart of account of Ethio Mobile Maintenance which is owned by Ato Samuel and managed by his wife W/o Ethiopia is follows:

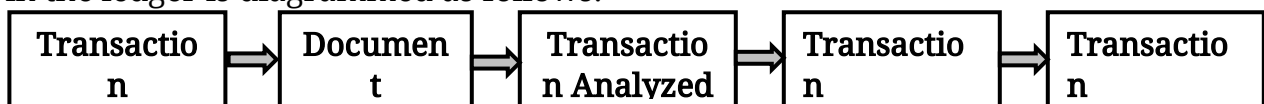
1. Assets	
Cash.....	11
Accounts Receivables.....	12
Supplies.....	13
Prepaid Insurance.....	14
Office Equipment.....	17
Land.....	19
2. Liabilities	
Accounts Payable.....	21
Unearned Revenue.....	23
3. Capital	
Samuel, Capital.....	31
Samuel, Drawing.....	32
Income Summary.....	33
4. Revenues	

Fees Revenue.....	41
Rent Income.....	42
5. Expenses	
Salary Expenses.....	51
Rent Expense.....	52
Supplies Expense.....	53
Utilities Expense.....	54
Miscellaneous Expense.....	59

Note: A flexible system of numbering is desired. Such system has the advantage of permitting of the later insertion new accounts without disturbing other account number. In the above chart of accounts certain numbers (**15, 16, 18, and 22, 55-58**) have not been assigned. These numbers are held in reserve so that additional accounts can be inserted in the ledger in proper sequence whenever such accounts become necessary. The number of digits given may vary from 2 to 30 digits depending up on the size and nature of the business. In the above chart of accounts, 2 digits are assigned. The first digit shows the division of the item in the ledger and the second digit indicates the position of the item in the division.

3.2) Flow of Accounting Data

The flow of accounting data from the time a transaction occurs to its recording in the ledger is diagrammed as follows:



- 1. Transaction Occurs** – there must be business transaction, be it internal or external, to initiate the flow of Accounting Data.
- 2. Document Prepared** – If it is external transaction it must be supported by the necessary source documents.
- 3. Analyzing Transaction**

Analysis of a transaction is a three steps procedure:

- F Determining the accounts affected by the transaction
- F Determining the effect of a transaction as increases and decreases
- F Analyzing the increases and decreases as Debit and Credit

Example: The owner of **JJ Arts Club** invested Br 20,000 on January 1, 2005

- The accounts affected are Cash (Asset) and Capital (Owner's Equity)
- Cash increases and Capital also increases by Br 20000
- Cash increases is Debit and Capital increases is Credit

JJ Arts Club purchased electric guitar for Br 8,200 in Cash on January 10, 2005

- The accounts affected are Cash and Equipment
- Cash decreases and Equipment increases by Br 8200

- Cash decreases is debit and Equipment increases is Credit

4. Recording Transaction in a Journal

After analyzing transactions, they are recorded in a book called journal in an orderly manner. Journal provides for transactions:

- Permanency-it is permanent record of transactions for reference
- Orderliness or chronology-transactions are recorded sequentially
- Accuracy or Approval- before transactions are recorded in their account approval will be made

There are two types of journals:

General Journal- is a journal on which any type of transaction is recorded upon.

Special journal- this is a journal on which one type of transaction with recurrent nature is recorded upon.

The process of recording transaction in a journal is called journalizing and the steps in journalizing are as follows:

Step-1: Recording the Date

- Inserting the year
- Inserting the month
- Inserting the date

Step-2: Recording the account title to be debited at the extreme left of the description column of the General Journal and enter the amount of debit

Step-3: Recording the account title to be credited just below the debit entry moderately indented and enter the credit amount

Step-4: Writing an explanation

Write an explanation for each transaction or replace it with its source document number if it is self explanatory transaction. The above two analyzed transactions are recorded in the General Journal as follows:

General Journal				Page 5
Date	Description	P/ R	Debit	Credit
2005				
January, 1	Cash		20000	
	Capital			20000
	Investment by the owner			
10	Equipment		8200	
	Cash			8200
	Purchase of Equipment			

5. Posting a Transaction

The processing of transferring a transaction to ledger accounts is called posting. There are different types of accounts:

- T-accounts which resembles a capital letter “T”
- Two column account which consists of two date, post referencing, debit and credit columns
- Four column account which consists of one date, one post referencing, one debit, one credit and one debit and credit under balance column
- Three column account which consists of one date, one post referencing, one debit, one credit and one balance column. The abnormal balance is shown in bracket.

The steps in posting are:

Step-1: Record the date and Post the debit or the credit

Step-2: Insert journal page numbers in the post reference column of ledger accounts

Step 3: Insert Account numbers in the post reference column of General Journal

Account Cash			Account No		
11					
Date	Item	P/R	Debit	Credit	Balance
2005					
Jan. 1			20000		20000
10				8200	11800

Illustration on Journalizing and Posting

The following transactions are related to **Ethio Mobile Maintenance (EMM)** which is owned by Ato Samuel, for the first month operation ended December 31, 2004

December 1: The following assets were invested to the business:

Cash.....	Br 5,900.00
Supplies.....	550.00
Land.....	10,000.00
The liabilities transferred to the business was....	400.00

December 1: EMM paid a premium of Br 2,400 for a comprehensive insurance policy which will cover a 2 years period

December 1: EMM received Br 720 for renting the land for 3 months

December 2: EMM paid Br 800 for the rent of the month December.

December 5: EMM Purchased Office Equipment on account Br 7,000

December 7: EMM paid Br 180 for a daily news paper

December 11: EMM paid Br 400 to creditors

December 13: EMM paid receptionist and part-time assistant Br 1,250 for two weeks salary

December 16: EMM received Br 5,000 from revenues earned for the 1st half of the month

December 16: fees revenue on account totaled Br 1,750 for 1st half of the month

December 20: EMM paid Br 3,500 to creditors on the Br 7000 debt owed from the December 4 transaction

December 23: EMM Received Br 1,150 from customers in payment of their accounts

December 25: EMM purchased supplies for Br 1,450 in cash

December 27: EMM paid receptionist and part-time assistant Br 1,250 for two weeks salary

December 31: EMM paid Br 310 and Br 240 telephone and electric bill for the month, respectively

December 31: EMM received Br 2,750 from revenue earned for the second half of the month

December 31: fees revenue earned on account totaled Br 1,200 for the second half of the month

December 31: the owner withdrew Br 1,000 for his personal use

Instructions: Analyze and Journalize the transaction for the month December 2005 in two column journal assuming that the policy of the company is to record money paid for telephone, electric and water as utilities expense and for advertising, postage and stamp and news paper as miscellaneous expense. Post entries from journal to ledger accounts using a four or three column ledger account

Journalizing: Recording Transactions in General Journal (Assume transactions from Dec.1 to 15 and Dec.16 to 31 are recorded on page 1 and 2, respectively)

General Journal				Page 1
Date	Description	P/R	Debit	Credit
2005				
Dec. 1	Cash.....		5,900	
	Supplies.....		550	
	Land.....		10,000	
	Accounts Payable.....			400
	Samuel, Capital.....			16,050
	investment by the owner			
1	Prepaid Insurance.....		2,400	

Chapter Three: Accounting for Service Rendering Businesses

	Cash.....			2,400
1	Cash.....		720	
	Unearned Rent.....			720
2	Rent Expense.....		800	
	Cash.....			800
5	Office Equipment.....		7,000	
	Accounts Payable.....			7,000
7	Miscellaneous Expense.....		180	
	Cash.....			180
11	Accounts Payable.....		400	
	Cash.....			400
13	Salary Expense.....		1,250	
	Cash.....			1,250

Transactions from December 16 to 31, 2005

General Journal				Page 2
Date	Description	P/R	Debit	Credit
2005				
Dec. 16	Cash.....		5,000	
	Service Revenue.....			5,000
16	Fees Receivables.....		1,750	
	Service Revenue.....			1,750
20	Accounts Payable.....		3,500	
	Cash.....			3,500
23	Cash.....		1,150	
	Fees Receivables.....			1,150
25	Supplies.....		1,450	
	Cash.....			1,450
27	Salary Expense.....		1,250	
	Cash.....			1,250
31	Utilities Expense.....		550	
	Cash.....			550

31	Cash.....		2,750	
	Service Revenue.....			2,750
31	Fees Receivables.....		1,200	
	Service Revenue.....			1,200
31	Samuel, Drawing.....		1,000	
	Cash.....			1,000

Posting: Transferring transactions from General Journal to ledger accounts

Account: Cash				Account No. 11	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.1			5,900		5,900
				2,400	3,500
			720		4,220
				800	3,420
				180	3,240
				400	2,840
				1250	1,590
			5000		6,590
				3500	3,090
			1150		4,240
				1450	2,790
				1250	1,540
				550	990
			2750		3,740
				1000	2,740

Cash Account has a debit balance of Br 2,740.

Account: Accounts Receivables				Account No. 12	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.1			1,750		1,750
				1,150	600
			1,200		1,800

Accounts Receivables General Ledger Account has a debit balance of Br 1,800

Account: Supplies				Account No. 13	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec. 1			550		550
			1,450		2,000

Supplies General Ledger Account has a debit balance of Br 2,000

Account: Prepaid Insurance				Account No. 14	
Date	Item	P/R	Debit	Credit	Balance

2004					
Dec. 1			2,400		2,400

Prepaid Insurance General Ledger Account has a debit balance of Br 2,400

Account: Equipment				Account No. 15	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec. 5			7,000		7,000

Equipment General Ledger Account has a debit balance of Br 7,000

Account: Accumulated Depreciation				Account No. 16	
Date	Item	P/R	Debit	Credit	Balance
2004					

No transaction is posted to Accumulated Depreciation General Ledger Account so far.

Account: Land				Account No.	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec. 1			10,000		10,000

Land General Ledger Account has a debit balance of Br 10,000

Account: Accounts Payable				Account No. 21	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec. 1				400	400
				7,000	7,400
			400		7,000
			3,500		3,500

Accounts Payable General Ledger Account has a credit balance of Br 3,500

Account: Unearned Rent				Account No. 23	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec. 1				720	720

--	--	--	--	--	--

Unearned Rent General Ledger Account has a credit balance of Br 2,400

Account: Samuel Capital				Account No. 31	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Samuel Capital General Ledger Account has a credit balance of Br

Account: Samuel Drawing				Account No 32	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Samuel Drawing General Ledger Account has a debit balance of Br

Account: Income Summary				Account No 33	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

No transaction is posted to Income Summary General Ledger Account

Account: Service Revenue				Account No. 41	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Service Revenue General Ledger Account has a Credit balance of Br

Account: Rent Income				Account No. 42	
Date	Item	P/R	Debit	Credit	Balance
2004					

Dec.					

No Transaction is posted to Rent Income General Ledger Account

Account: Salary Expense				Account No 51	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Salary Expense General Ledger Account has a debit balance of Br

Account: Supplies Expense				Account No. 53	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Supplies Expense General Ledger Account has a debit balance of Br

Account: Rent Expense				Account No.56	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Rent Expense General Ledger Account has a debit balance of Br

Account: Utilities Expense				Account No 52	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Utilities Expense General Ledger Account has a debit balance of Br

Account: Miscellaneous Expense				Account No. 59	
Date	Item	P/R	Debit	Credit	Balance
2004					

Dec.					

Miscellaneous Expense General Ledger Account has a debit balance of Br

Account: Depreciation Expense				Account No.55	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

No Transaction is posted to Depreciation Expense General Ledger Account

Account: Insurance Expense				Account No. 54	
Date	Item	P/R	Debit	Credit	Balance
2004					
Dec.					

Insurance Expense General Ledger Account has a debit balance of Br

3.3) Trial Balance

Before preparing financial statements, the ledger account balances must be proved as to the equality of the total debit balances and the total credit balances. The working paper which provides the proof of the equality of debit and credit balances is called a trial balance. The trial balance is a two column schedule listing the names and balances of all accounts in the ledger i.e. debit balances are listed in the left hand column and the credit balances in the right hand column. It is a working paper which is useful only to the accountant. It is not a financial statement and it is not intended for distribution to the users of accounting information. Preparing a trial Balance requires five steps

- Determine the balance of each account
- List the accounts with a balance other than zero, the debits in the left column and the credits in right column
- Add debit balances
- Add credit balances
- Compare the sum of the debit balances with the sum of the credit balances

Instruction: Prepare a Trial Balance for EMM

Ethio Mobile Maintenance
Trial Balance
December 31, 2004

Account Title	Debit	Credit
Cash.....	2,740	
Account Receivables.....	1,800	
Supplies.....	2,000	
Prepaid Insurance.....	2,400	
Office Equipment.....	7,000	
Land.....	10,000	
Account Payables.....		3,500
Unearned Rent.....		720
Samuel, Capital.....		16,050
Samuel, Drawing.....	1,000	
Service Revenue.....		10,700
Salary Expense.....	2,500	
Rent Expense.....	800	
Utilities Expense.....	550	
Miscellaneous Expense.....	180	
Total	<u>30,970</u>	<u>30,970</u>

Uses of a Trial Balance

A trial balance provides a proof that the ledger is in balance and it is also a cornerstone for preparation of financial statements. The following types of errors will cause the two totals of the trial balance to be unequal.

Error in preparing the trial balance such as:

- One of the columns of the TB was incorrectly added
- The amount of an account balance is incorrectly recorded on the trial balance
- A debit balance was recorded on the trial balance as a credit or vice-versa or the balance was entirely omitted

Error in determining the account balances such as:

- A balance was incorrectly computed
- A balance was entered in the wrong balance column

Error in recording transaction in the ledger such as

- An erroneous amount was posted to the account
- A debit entry was posted as a credit or vice-versa
- A debit and a credit posting was omitted

Limitations of a Trial Balance

The trial balance does not prove that transactions have been correctly analyzed and recorded in the proper account because there are many errors that do not cause the two totals of the trial balance to be out of balance. The following errors do not affect the equality of the two columns of the trial balance:

- Failure to record a transaction or to post a transaction
- Recording the same erroneous amount for both debit and credit parts of a transaction
- Recording the same transaction more than once for both parts of a transaction
- Posting a part of a transaction correctly as a debit or a credit but to the wrong account

Discovery of Errors

If the two totals of the trial balance are not equal, the error can be discovered in the following manner:

- By Audit procedures
- By Chance discovery
- Through the medium of the trial balance

Through the medium of the trial balance, first determine the difference between the debit total and the credit total. This gives the clue

- A difference of Br10, 100, 1000 is frequently the result of an error in addition
- If a difference divisible evenly by 2, the error is either the omission of a debit or a credit or the posting of debit as a credit or vice-versa
- If the discrepancy of the two totals is evenly divisible by 9, the error is either transpositions or slide.
 - Transpositions error is the erroneous rearrangement of digits
 - Slide error is the entire number is erroneously moved one or more spaces to the right or to the left

3.4) The Adjusting Process

Revenues and expenses might be reported on the income statement by the cash basis or the accrual basis. In the cash basis of accounting, revenues are reported in the period cash is received and expenses are reported in the period when cash is paid. In cash basis of accounting, the net income equals cash receipts minus cash payments. This basis of accounting is used by various professional service businesses. For most businesses, however, it is not considered an acceptable method. In the accrual basis of accounting, revenues are reported in the period in which they are earned and expenses are reported in the period in which they are incurred. Thus, accrual basis of accounting requires adjusting processing.

At the end of the acct period many of the amounts listed on the trial balance can be transferred with out change to the financial statements. For example, cash, notes payable. On the other hand there are some accounts whose balance listed on the trial balance should not pass directly to the financial statements. For example, the amounts listed for prepaid expenses are normally overstated. The reason is part of the amount is consumed in the day to day operation of the business in generating revenues. Also other data needed for the financial statement may be entirely omitted from the trial balance because revenues or expenses related to the period has not been recorded. For example, salary expenses incurred between the last pay day and the end of the accounting period would not ordinarily be recorded in the accounts because salaries are customarily recorded only when they are paid. The entries required at the end of the accounting period to bring the amounts up to date and to ensure the proper matching of revenues and expenses are called adjusting entries. Adjusting entries are internal transactions made at the end of the accounting period.

Illustrations of Adjusting Entry

1. Adjusting Deferred Expenses (Prepaid Expenses)

A) Adjusting Supplies

In a trial balance, the supplies account has a balance of Br2000 on December 31, 2004. Assuming that the inventory of supplies on December 31, is Br 500, determine the amount to be transferred from asset account (supplies) to the expense account (supplies expense)

Supplies available during the year.....	Br 2,000
Supplies on hand.....	(500)
Supplies used (amount of adjustment)	<u>1,500</u>

B) Adjusting prepaid insurance

The balance of prepaid insurance account has a balance of Br 2400 which was paid for 24 months. As a result every month Br 100 is expired. Other examples of prepaid expense are prepaid advertising, interest, rent, etc

2. Adjusting Deferred Revenue (Unearned Revenue)

On December 31, the balance in the unearned rent account is Br720. This balance represents the receipt of three month's rent. At the end of December, the unearned rent account should be debited (decreased) by Br 240 and the rent income account should be credited (increased) by Br 240.

3. Adjusting Accrued Expenses (Accrued Liabilities)

Some services are paid for after the services have been performed. For example, Wages expense accumulated or accrues hour by hour and day by day, but payment may be made only weekly, biweekly, or monthly. The

amount of such an accrued but unpaid item at the end of the accounting period is both an expense and a liability. For example, at the end of December accrued wages for Ethio Mobile Maintenance was Br 250. This amount is an additional expense of December and is debited to the salary expense and salary payable. In this example, December 1 is on Sunday and the first and the second salary payment on 13th and 27th of December, respectively if salary is paid on biweekly basis. If payment for the next 10 working days is Br 1250 the accrued salary will be Br 250

4. Adjusting Plant Assets

As time passes, the equipment loses its ability to provide useful services. This decrease in usefulness is called depreciation. All plant, except land, loses their usefulness. It is difficult to objectively measure the decrease in usefulness of a plant asset. For this reason, depreciation in accounting is the systematic allocation of plant assets cost to the useful life as an expense. This allocation occurs over the asset's estimated life during which it is expected to generate revenue. The adjusting entry is made by debiting a depreciation expense account and crediting an accumulated depreciation account followed by the specific name of that plant asset. For example, assuming that the estimated amount of depreciation for the month is Br 100, the adjusting entry debits (increases) Depreciation Expense by 100 and credits (increases) Accumulated Depreciation-Equipment by the same amount.

- Book Value (BV) an Asset = Cost – Accumulated Depreciation
- Book Value of the Equipment= Br 7,000 – 100= Br 6,900

3.5) Worksheet for Financial Statements

A working paper often used by accountants to summarize adjustment data and assist in preparing the financial statements is called the worksheet. It is identified by three headings and has five columns: Trial Balance Column, Adjustment Column, Adjusted Trial Balance Column, Income Statement Column, and Balance Sheet Column.

Uses of Worksheet:

1. It Reduces The Possibility Of Overlooking The Need For An Adjustments
2. It provides A Convenient Means Of Verifying Arithmetical Accuracy
3. It Provides For The Arrangement Of Data Is A Logical Form
4. It Provides The Source Data For The Financial Statements

Preparing worksheet based on the above adjustment data for the service rendering business.

**Ethiopia Mobile Maintenance
Work Sheet
For The Year Ended December 31, 2004**

Title of Accounts	Trial Balance		Adjustment		Adjusted T B		Income Statement		Balance Sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash	2,740				2,740				2,740	
Account Receivables	1,800				1,800				1,800	
Supplies	2,000			A)1,500	500				500	
Prepaid Insurance	2,400			B) 100	2,300				2,300	
Office Equipment	7,000				7,000				7,000	
Land	10,000				10,000				10,000	
Account Payables		3,500				3,500				3,500
Unearned Rent		720	C)240			480				480
Samuel, Capital		16,050				16,050				16,050
Samuel, Drawing	1,000				1,000				1,000	
Service Revenue		10,700				10,700		10,700		
Salary Expense	2,500		D)250		2,750		2,750			
Rent Expense	800				800		800			
Utilities Expense	550				550		550			
Miscellaneous Exp.	180				180		180			
	<u>30,970</u>	<u>30,970</u>								
Supplies Expense			A)1,500		1,500		1,500			
Insurance Expense			B)100		100		100			
Rent Income				C)240		240		240		
Salary Payable				D)250		250				250
Depreciation Expense			E) 100		100		100			
Accum. Depreciation-Equip.				E) 100		100				100
					<u>31,320</u>	<u>31,320</u>		10,940	25,340	
Net Income			<u>2,190</u>	<u>2,190</u>	<u>0</u>	<u>0</u>	4,960			4,960
							<u>10,940</u>	<u>10,940</u>	<u>25,340</u>	<u>25,340</u>

3.6) Preparation of Financial Statements

The worksheet is an aid in preparing the financial statement namely the income Statement, The Capital Statement and the Balance Sheet. For Ethio-Mobile Maintenance, the financial statements are presented as follows:

1. The Income Statement

Ethio Mobile Maintenance Income Statement For The Year Ended December 31, 2004		
Revenues:	In Birr	In Birr
Service Revenue.....	10,700	
Rent Income.....	<u>240</u>	
Total Revenue.....		10,940
Expenses:		
Salary Expense.....	2,750	
Rent Expense.....	800	
Depreciation Expense.....	100	
Utilities Expense.....	550	
Supplies Expense.....	1,500	
Insurance Expense.....	100	
Miscellaneous Expense.....	<u>180</u>	
Total Operating Expense.....		5,980
Net Income.....		<u>4,960</u>

2. Statement of Owner's Equity

Ethio Mobile Maintenance Statement of Owner's Equity For the Year Ended December 31, 2004		
Samuel, Capital December 1, 2004.....		Br 16,050
Add: Net Income (Net Loss).....	4,960	
Less: Withdrawal.....	<u>(1,000)</u>	
Net Increase In Capital.....		<u>3,960</u>
Samuel, Capital December 31, 2004.....		<u>Br 20,010</u>

3. The Balance Sheet

Ethio Mobile Maintenance Balance Sheet December 31, 2004				
Assets:		In Birr	Liabilities and Capital:	In Birr
Cash.....		2,740	Liabilities:	
A/Receivables.....		1,800	Accounts Payable.....	3,500
Supplies.....		500	Salary Payable.....	250
Prepaid Insurance.....		<u>2,300</u>	Unearned Rent.....	<u>480</u>
Total Current Assets.....		7,340	Total Current Liabilities.....	4,230

Office Equipment:			Long Term Liabilities.....	<u>0.00</u>
7,000				
Less: Acc. Depreciation	6,900		Total Liabilities.....	4,230
(100)				
Land.....	<u>10,000</u>		Capital:	
	<u>0</u>			
Total Plant Assets.....		<u>16,900</u>	Samuel, Capital.....	<u>20,010</u>
Total Assets.....		Br <u>24,240</u>	Total Liab. and Capital.....	Br <u>24,240</u>
		<u>0</u>		<u>0</u>

Note: Financial statements may annual or interim. Statements that are prepared for a period of less than one year are called interim statements. A financial report that is prepared annually is said to be fiscal year statement.

3.7) Journalizing and Posting Adjusting Entries

At the end of the accounting period, the adjustment data appearing in the work sheet are recorded in the journal and posted to the ledger. This procedure brings the ledger into agreement with the data reported on the financial statements. The adjusting entries are dated as of the last day of the period, even though they are usually recorded at a later date. Each entry may be supported by an explanation, but a suitable caption above the first adjusting entry is sufficient. The Adjusting Entries for EMM is presented in a General Journal as follows:

General Journal				Page
Date	Description	P/R	Debit	Credit
	Adjusting Entries			
December 31	Supplies Expense		1,500.00	
	Supplies			1,500.00
31	Insurance Expense		100.00	
	Prepaid Insurance			100.00
31	Unearned Rent		240.00	
	Rent Income			240.00
31	Salary Expense		250.00	
	Salary Payable			250.00
31	Depreciation Expense		100.00	
	Accumulated			100.00

	Depreciation - E			
--	------------------	--	--	--

3.8) Journalizing and Posting Closing Entries

Revenues, expenses and drawing or dividend accounts are temporary accounts used in classifying and summarizing changes in the owner's equity during accounting period. Since these accounts are reported for each period, the balances of these accounts should be zero at the beginning of the next period. Because the balances of these accounts are not carried forward, they are sometimes called temporary accounts or nominal accounts. The balances of temporary accounts and preparing these accounts for use in accumulating data for the following period is accomplished by removing their balances through closing entries. Closing entries are made with the help of another temporary account called Income Summary. The four entries required to close the temporary accounts of a sole proprietorship at the end of the accounting period are:

- A. to close revenue accounts-each revenue account is debited for the amount of its balance and the income summary is credited for total revenue
- B. to close expense accounts-each expense account is credited for the amount of its balance and income summary is debited
- C. Income summary might have debit (net loss) or credit (net income) balance after revenues and expenses are closed. If it is debit balance income summary is credited and capital is debited and if it is credit balance income summary is debited and capital is credited.
- D. To close drawing account-the drawing account is credited for the amount of its balance and the capital account is debited for the same amount.

General Journal				Page
Date	Description	P/R	Debit	Credit
	Closing Entries			
December 31	Service Revenue		10,700.00	
	Rent Income		240.00	
	Income Summary			10,940.00
31	Income Summary		5,980.00	
	Salary Expense			2,750.00
	Rent Expense			800.00
	Insurance Expense			100.00
	Supplies Expense			1,500.00
	Utilities Expense			550.00
	Depreciation Expense			100.00

	Miscellaneous Expense			180.00
31	Income Summary		4,960.00	
	Samuel, Capital			4,960.00
31	Samuel, Capital		1,000.00	
	Samuel, Drawing			1,000.00

3.9) Post Closing Trial Balance

The last and optional procedure of the accounting cycle is the preparation of a trial balance after all the temporary accounts have been closed. The purpose of the post closing trial balance is to make sure that the ledger is in balance at the beginning of the new accounting period.

Ethio Mobile Maintenance Post Closing Trial Balance December 31, 2004		
Account Title	Debit	Credit
Cash		
Account Receivables		
Supplies		
Prepaid Insurance		
Office Equipment		
Accumulated Depreciation- Equipment		
Land		
Account Payables		
Unearned Rent		
Salary Payable		
Samuel, Capital		
Total		

Chapter Four

Accounting for Merchandising Businesses

In the preceding chapters we have illustrated the accounting cycle for organizations that render services to their customers. Merchandising companies, in contrast, earn their revenue by selling goods.

A business that buys and resells goods is called Merchandising Business. The goods that a merchandising company sells to its customers are called inventory (or merchandise). Merchandising companies include both retailers and wholesalers. These companies purchase readymade or ready to sell goods and get all earning or revenue by selling them. Merchandise may include anything, which a merchandising business can buy for resell purpose and may vary from needle to automobiles. Merchandising enterprises commonly use the procedures described below. However, these procedures may vary from business to business. For Example:

- ❖ Purchases and sells may be made for cash or on credit basis
- ❖ Different arrangement may be made for making payment on accounts
- ❖ Policies for the return of merchandising may differ and
- ❖ Policies for the payment of transportation costs may also vary

4.1) Accounting For Purchases and Sales

Purchases of merchandise are usually identified in the ledger as purchases. A merchandising business can accumulate in the purchases account the cost of all merchandise purchased for resale during the accounting period. The cost of merchandise purchased is recorded by debiting an account called “PURCHASES”. Purchases can be made for cash or on account. The sale of merchandise during an accounting period credited to an account called “SALES”. Merchandises may be sold on cash or may also be sold on account.

Illustration 4.1: Mulu Super Market purchases 2000 cartons of Canned Fish from Century Trading House at a cost of Br 50 per carton on cash. Record the transaction for both the buyer and the seller.

The Buyer (Mulu Super Market):

Purchases.....	100,000	
Cash.....		100,000

The seller (Century Trading House):

Cash.....	100,000	
Sales.....		100,000

Illustration 4.2: Lucy Cosmo Trading Company sold merchandises of Br 5,700

on credit to Selam Cosmetics. Record the transaction for both parties

The Buyer:

Purchases.....	5,700	
Accounts Payable.....		5,700

The Seller:

Accounts Receivable.....	5,700	
Sales.....		5,700

Illustration 4.3: Assume Ambassel Trading House purchases 10,000 cartons of Exercises book from Guna Trading Enterprise for Br 150,000 with down payment of 60%. Record the transaction in the book's of the buyer and the seller.

The Seller (Guna Trading Enterprises):

Cash.....	90,000	
Accounts Receivable.....	60,000	
Sales.....		150,000

The Buyer (Ambassel Trading House):

Purchases.....	150,000	
Cash.....		60,000
Accounts Payable.....		90,000

Note: The Purchases account is used only for merchandise for resale to customers. That is, other assets purchased for use in the business are not debited to the purchases account. The acquisition of the asset recorded by debiting the appropriate asset account

4.2) Credit Terms, Cash Discounts and Return & Allowances

1. Credit Terms

The arrangements agreed upon by the buyer and the seller as to when payments for merchandise are to be made is called the credit terms. If the payment is required upon delivery, the terms are said to be “Cash term” or “Net cash term”. If the payment is not required upon delivery, the buyer is allowed a certain period of time for payment; the term is known as the credit period. The credit period usually begins with the date of the sale as shown by the date of the invoice or the bill. Examples of Credit Period terms:

- n/30 (i.e. net 30 days) – payment will be made or due within 30 days after the date of the invoice.
- n/EOM (i.e. net end of the month) – the payment will due by the end of the

month in which the sales was made.

- 20/EOM (i.e. 20 end of the month) – Payment is due 20 days after the end of the month in which the sales was made

2. Cash Discounts

As a means of encouraging payment before the end of the credit period, the seller may offer a discount for the early payment of cash. Such type of deduction or discount is known, as a cash discount. It is a discount for prompt payment made from the invoice price.

Illustration 4.4: A seller may offer a buyer a 2% discount if payment is received within 10 days of the invoice date. For this, the term “2/10, n/30” can be used and it means that:

- The credit period is net 30 days
- The period during which a discount is available is called the ***Discount Period*** i.e. is the first 10 days
- The buyer will get a deduction of 2% of the amount of the invoice if it is paid within the 10 days of the credit period.

Cash discounts can be Purchase discount and Sales discount.

Purchase discount: the cash discount taken by the buyer for early or prompt payment of an invoice is called purchase discounts. The buyer records purchase discount by crediting the “**PURCHASES DISCOUNTS**” account and they are usually viewed as a deduction from the amount initially recorded as in purchases. Purchase discount account is a contra (offsetting) account to Purchases account.

Sales discounts: the seller refers to the same cash discounts taken by the buyer as “**SALES DISCOUNT**”. It is recorded by debiting sales discount account and considered as the amount to be deducted from the amount sales. Sales discount is a contra sales account.

Illustration 4.5: On March 1, 2005 assume **Hebesha Trading House** purchased ready made clothes from **Kombolcha Textile Factory** on account for Br 600,000; terms 2/10,n/30. **Instructions:** record the transaction in the books of both the buyer and the seller assuming that (A) the Buyer settled the payment within the discount period, and (B) the Buyer did not settle the payment within the discount period

A) Within the Discount Period

The Buyer:

March 1, 2005:	Purchases.....	600,000	
	Accounts Payable.....		600,00

			0
March 2005:	10,	Purchase Discount = 600,000 * 2% = 12,000	
	Accounts Payable.....	600,00 0	
	Cash.....		588,00 0
	Purchase Discount.....		120,00 0

The Seller:

March 1, 2005:	Accounts Receivable.....	600,00 0	
	Sales.....		600,00 0
March 2005:	10,	Sales Discount = 600,000 * 2% = 12,000	
	Cash.....	588,00 0	
	Sales Discount.....	120,00 0	
	Accounts Receivable.....		600,00 0

B) After the Discount Period**The Buyer:**

March 1, 2005:	Purchases.....	600,00 0	
	Accounts Payable.....		600,00 0
March 2005:	10,	Accounts Payable.....	
	Cash.....	600,00 0	
			600,00 0

The Seller:

March 1, 2005:	Accounts Receivable.....	600,00 0	
	Sales.....		600,00 0

March 10, 2005:	Cash.....	600,000	
	Accounts Receivable.....		600,000

Note: From the buyer's stand point, it is important to take advantage of all available discounts even though it may be necessary to borrow money to make the payment.

Example 4.6: on January 1, 2005 Ethiopian Electric Company purchased 20 transformers from Wallace Electronic Supplies at Br 200 per unit; terms 2/10, n/30. The invoice is to be paid within the discount period from the bank at 10% for remaining 20 days. Determine the amount of net saving for Ethiopian Electric Company

- Total invoice price..... Br 4,000
- Cash discount (Br 4000 * 2%= 80)..... (80)
- The amount to be borrowed..... Br 3,920
- Interest on money borrowed (3920*10%*20/360)..... 21.80
- Net saving (Br 80- 21.80=)..... Br 58.20

Net saving is the difference between the discount received and the interest to be paid for the 20 days i.e. if the business borrowed money and settled the liability within the discount period, the business can save an amount of Br 58.20

Exercise 4.1: On November 1, 2004 ABC Company purchased merchandise on a credit terms 3/10, n/30 and on November 10, 2004 the company paid Br 9700. Instruction: record the transaction in a journal at the date of purchases and on the date of payment

3. Return and Allowances

Merchandise purchased from the supplier may be unsatisfactory, defective or wrong specification. In this case the goods may be returned to the supplier (this is called Returns) or the buyer may requests for a price reduction or adjustment (this is called Allowances). The same **return and allowance** is referred by the buyer as **purchases returns and allowances** and by the seller as **sales returns and allowances**.

Purchases Returns and Allowances (PRA): The buyer sends a debit memo to the supplier to notify that it is debiting the seller's account. It is recorded by crediting "Purchases Return and Allowances" or "Purchases" account. But management needs specific information as to the percentage of purchases return and allowances so that they prefer the credit goes to "**Purchases Returns and Allowances**".

Sales Returns and Allowances (SRA): The effect of sales return and allowances is a deduction in sales revenue and a reduction in or account receivable. Therefore, excessive sales return and allowances show there is loss in revenue, an additional expense and customer dissatisfaction. It is possible to debit the sales account instead of debiting the sales returns and allowances account. However, debiting sales account will not disclose the amount of sales returns and allowances.

Illustration 4.7: On July 8, 2005 **Global Trading Enterprise** sold merchandises on account to **GYB Company** Br 40,000 terms 3/10, n/eom. On July 11, GYB Returned Br4000 defective merchandises to Global which is part of the sale of July 8. On July 17, Global received cash from GYB. Instruction: record the transactions in the books of the buyer and the seller.

The Buyer:

July 8:	Purchases.....	40,000	
	Accounts Payable.....		40,000
July 11:	Accounts Payable.....	4,000	
	Purchase Return and Allowance.....		4,000
July 17:	Accounts Payable.....	36,000	
	Cash.....		34,920
	Purchases Discount.....		1,080

The Seller:

July 8:	Accounts Receivable.....	40,000	
	Sales.....		40,000
July 11:	Sales Return and Allowances.....	4,000	
	Accounts Receivable.....		4,000
July 17:	Cash.....	34,920	
	Sales discounts.....	1,080	
	Accounts Receivables.....		36,000

Exercise 4.2: Assume **Guna Trading Enterprises** sold merchandise for cash for

Br 80,000 to **Gungo Trading Company** on August 10, 2004. Guna Trading Enterprises received some of the merchandises sold to Gungo because they are found to be defective. The company has given the cash refund of Br 2500 for goods returned by the buyer on August 12. Instruction: Record the transaction in the book's of the buyer and the seller

4.3) Trade Discounts, Sales Taxes, and Transportation Costs

1. Trade Discounts

Many wholesalers of merchandise publish periodic catalogs that are used by buyers in ordering merchandise. Rather than updating their catalogs frequently, wholesalers publish price updates which may involve large discounts from the list prices or suggested price or gross price in their catalogs. In addition, the sellers offer certain classes of buyers such as government agencies or buyers who order large quantities, special discounts. The special discounts or discounts for large quantities purchased are called **Trade discounts**. Sellers and buyers usually don't record the list prices and the related trade discounts in their accounting records. For accounting purpose only the final price or agreed price is important.

Illustration 4.8: KOKET Company purchased 600 units of merchandises from BB Company terms 3/10, n/30. The merchandise has a list price of Br 50 per unit with the trade discount of 20%, 10% and 5%. Assuming that KOKET Company is allowed all these discounts compute the invoice price for the 600 units and make the necessary journal Entries in the record of both Companies assuming that the buyer paid within the discount period.

- List price (600 units * Br 50)..... Br 30,000.00
- Trade discount (20%*30,000)..... (6000.00)
- Balance after the 20% TD..... Br 24,000.00
- Less: TD (10%*24,000)..... (2,400.00)
- Balance after the 10% TD..... Br 21,600.00
- Less: TD (5%*21,600)..... (1,080.00)
- Agreed Price or Invoice price..... Br 20,520.00

The Buyer:

Date of Purchases:	Purchases.....	20,520	
	Accounts Payable.....		20,520
			0
Date of Payment:	Purchase Discount = 20,520* 3% = 616		
	Accounts Payable.....	20,520	
	Cash.....		19,904

	Purchase Discount.....		616
--	------------------------	--	-----

The Seller:

Date of Sales:	Accounts Receivable.....	20,520	
	Sales.....		20,520
Date of Receipts:	Sales Discount = 20,520* 3% = 616		
	Cash.....	19,904	
	Sales Discount.....	616	
	Accounts Receivable.....		20,520

2. Sales Taxes

Government usually levies or imposes tax on retail sales of merchandises. Sales of merchandise that will be resold are usually not taxed. A sales tax is imposed on the final consumer but the seller must collect the tax, file tax returns at a time specified by law and remit the collected tax on the reported sales to the government.

Value Added Tax (VAT) one of the sales tax which charged on the supply of most goods and services for the value added on it. Some goods are not taxable. For example, postal services are not taxable. In addition, some persons and firms are exempted from sales tax- Ambassador and Embassy residents and Charities organizations (Zero Rated Firms). Nature of the business also affects the sales tax. A bank for instance does not have to add VAT on its bank charges and small firms, too. If small firms do register for VAT then they will have to keep full VAT records in addition to charging out VAT.

Accounting For Sales Tax by the Seller

The seller records sales tax collected by crediting sales tax payable account at the time of sales whether it is cash sales or credit sales.

Illustration 4.9: assume Building Materials Supply Enterprise sold 200 KGs of nails at Br 10 per kilo; 600 iron sheets at Br 40 per sheet and 700 cans of Tsedey Paint at Br60 per can on January 5, 2004. The goods are subject to sales tax at the rate of 15%. Record the transaction.

Quantity	Unit price	Total price	Sales Tax	Sales Tax Amount
200	Br10	Br 2,000.00	15%	Br 300.00
600	40	24,000.00	15%	3,600.00
700	60	<u>42,000.00</u>	15%	<u>6,300.00</u>
Total Invoice Price.....Br <u>68,000.00</u>			Total Sales Tax.....Br <u>10,200.00</u>	

The journal entries are as follows:

Cash.....	78,200	
Sales.....		68,000
Sales Tax Payable.....		10,200

Illustration 4.10: Assume Building Materials Supply Enterprise sold 500 cans of paint at Birr 60 per can to Lalibela Engineering on account, on January 10, 2004. The sale was subject to a sales tax of 15%. Journalize the transaction and the remittance of tax payable amount on January 5 and 10, respectively.

- Total Price (Br 60 * 500 cans)..... Br 30,000.00
- Sales Tax (Br 30000 * 15%)..... 4,500.00
- Total Amount..... Br 3,4500.00

January 5:	Accounts Receivable.....	34,500	
	Sales.....		30,000
	Sales Tax Payable.....		4,500
January 10:	Sales Tax Payable.....	14,700	
	Cash.....		14,700

An Alternative Approach to Sales Tax:

Instead of recording the sales tax liability at the time of sale, some businesses prefer to credit the sales with the entire amount collected including the sales tax and to make an adjustment at the end of each period to reflect sales tax payable.

Illustration 4.11: suppose that the total amount recorded to the sales account including the sales tax for the period was Br 345000. If the sales tax rate is 15% make the necessary adjustment to record the sales tax liability at the end of the period.

- F Total Amount----Br 345,000.00
- F Sales Tax ----- 15%
- F Sales + Sales Tax = 345,000.00
- F Sales + (Sales * Sales Tax Rate) = 345,000.00
- F Sales + 15% Sales = 345,000.00
- F Sales + 0.15 Sales = 345,000.00
- F 1.15 Sales = 345,000.00
- F Sales = 345,000.00 / 1.15
- F Sales= 300,000.00
- F Sales + Sales Tax = 345,000.00
- F 300000 + Sales Tax = 345,000.00
- F Sales Tax = 345000- 300000
- F Sales Tax= 45,000.00

◆ **Sales:**

Cash.....	345,00 0	
Sales.....		345,00 0

◆ **Adjusting Entries:**

Sales.....	45,000	
Sales Tax Payable.....		45,00 0

◆ **Payment:**

Sales Tax Payable.....	45,00 0	
Cash.....		45,00 0

◆ **The Buyer:**

Purchases.....	345,00 0	
Cash.....		345,00 0

3. Transportation Costs

The terms of agreement between a buyer and seller include when the ownership of the merchandise passes to the buyer and which party is to absorb the cost of delivering the merchandise to the buyer. There are two most common terms with respect to this: FOB (Free on Board) Shipping Point and Destination.

FOB Shipping Point: under this term the seller places merchandise “Free On Board” at the shipping point. Thus,

- The buyer pays transportation costs
- Ownership is transferred at point of shipment
- The goods are the property of the buyer after the point of shipment
- Any risk is absorbed by the buyer while the goods is in transit

FOB Destination: under this term the seller places merchandise “Free On Board” at the buyer’s final destination by paying the delivery costs. Thus,

- The seller pays the transportation costs
- Title or ownership to the goods is transferred at the buyer’s location
- The goods are the property of the seller while in transit
- Any risk while the goods in transit is absorbed by the seller

When merchandise is purchased on terms of FOB shipping point, the transportation costs paid by the buyer is debited to Transportation In or Freight In or Purchases account. In some cases, the seller may prepay the

transportation costs and add them to the buyer, even though the agreement is states that the buyer bear such costs (i.e. terms FOB shipping point). This is also debited to the same accounts as above.

When the agreement states that the seller is to bear the delivery costs (FOB Destination), the amount paid by the seller for delivery of merchandise is debited to Transportation Out or Freight Out or delivery Expense or a similarly titled account. The total of such costs incurred during a period is reported on the seller's income statement as a selling expense and will not be included in the cost of goods sold.

Illustration 4.12: on February 1, 2004 **RR Trading Company** purchased merchandise on account from **KK Company** for Br 12,000, terms FOB shipping point 2/10, n/30 and the buyer paid a transportation cost of Br 100 to XX Transportation Company. On February 12, RR Company paid cash to KK Co.

February 1:	Purchases.....	12,000	
	Transportation-in.....	1,000	
	Accounts Payable.....		12,000
	Cash.....		1,000
OR:	Purchases.....	13,000	
	Accounts Payable.....		12,000
	Cash.....		1,000
February 12:	Accounts Payable.....	12,000	
	Cash.....		12,000

Illustration 4.13: On March 5, **MM Company** Purchased merchandise from **JJ Company** on account Br 8500 terms 1/10, n/30 FOB shipping point. **JJ Company** pays the transportation charges of Br 5000. Instructions:

- At the date of purchase
- If MM Co. returned some merchandise which have a cost Br 500 on March 9
- If MM Co. paid cash to JJ Company on March 14

March 5:	Purchases.....	8,500	
	Transportation-in.....	500	
	Accounts Payable.....		9,000
March 9:	Accounts Payable.....	500	
	Purchase Return & Allow.....		500
March 14:	Accounts Payable.....	8,500	
	Cash.....		8,420
	Purchase Discount.....		80

Illustration 4.13: on May 1, 2004 **Melat Private Limited Company** sold merchandise to **Belule Private Limited Company** on account for Br 90,000 terms FOB destination 2/10, n/30. The seller paid Br 4,000 to TT Transport Share Co. and received the amount on May 10. **Instructions:** journalize the above transactions:

May 1:	Accounts Receivable.....	90,000	
	Delivery Expense.....	4,000	
	Sales.....		90,000
	Cash.....		4,000
May 10:	Cash.....	88,200	
	Sales Discount.....	1,800	
	Accounts Receivable.....		90,000

Exercise 4.3: MEWIT (Merchandise Whole Sale and Import Trade Enterprise) sold to BMSE on account, list price Br40000, trade discount 20%, sales tax 5%, term 3/10, n/30, FOB Shipping Point. The seller pays transportation cost of Br 1000 and adds it to the invoice and the seller issues the credit memorandum for Br 5000 merchandise returned and subsequently receives the amount within the discount period. Record the transactions for both parties

4.4) Periodic Reporting and Merchandise Inventory System

1. Periodic Reporting

The sequence of year end procedures may be changed slightly, but in general the following outline is typical:

1. Prepare a trial balance of the ledger on a worksheet form
2. Review the accounts and gather the data required for the adjustment
3. Insert the adjustments and complete the work sheet
4. Prepare financial statements from the data in the worksheet
5. Journalize the adjusting entries and post to the ledger
6. Journalize the closing entries and post to the ledger
7. Prepare a post closing trial balance of the ledger

2. Merchandise Inventory Systems

The system through which you can determine CGS and Cost of Ending Inventory is called inventory system. The two main systems for accounting for merchandise held for sale are the periodic inventory system and the perpetual inventory system.

- ◆ **The Periodic Inventory System and Determination of Cost of Merchandise Sold**

In this system:

- The purchase of merchandise is debited to purchases account
- The revenue from sales is recorded when at sale was made but no attempt is made to record the cost of merchandise sold
- The cost of Ending Inventory is determined by taking a physical inventory (counting the merchandise at hand or unsold and multiplying by its unit price).
- The cost of merchandise sold (CMS) is determined as follows:

Merchandise Inventory (Beginning).....	xxxxx
Add: Purchases.....	xxxxx
Less: Purchase Return & Allow.....	(xxxxx)
Less: PD.....	(xxxxx)
Net Purchases.....	xxxxx
Add: Freight in.....	xxxxx
Cost of merchandise purchased.....	xxxxx
Cost of Merchandise Available for sales (CMAS)	xxxxx
Less: Ending Inventory.....	(xxxxx)
Cost of Merchandise Sold.....	<u>xxxxx</u>

Adjustments in Merchandising Business

1. Adjusting Merchandise Inventory

Merchandise inventory account showed the inventory balance at the beginning of the period through out an accounting period if the business is using ***Periodic Inventory System***. Purchases and purchases related account are recorded separately during the year and thus at the end of the period two adjusting entries are required to update merchandise inventory account.

A) To adjust beginning inventory:

Income Summary.....	xxxxx	
Merchandise Inventory.....		xxxxx

B) To adjust ending inventory:

Merchandise Inventory.....	xxxxx	
Income Summary.....		xxxxx

Illustration 4.14: Assume from January 1, 2004, the merchandise inventory has a balance of Br 180,000 and the ending inventory on December 31 of the same year is Br 220,000. **Instruction:** journalize the adjusting entry

Adjusting Beginning Inventory

Income Summary.....	180,000	
Merchandise Inventory.....		180,000

Adjusting Ending Inventory

Merchandise Inventory.....	220,000	
Income Summary.....		220,000

2. Adjusting Deferrals and Accruals

In merchandising business in addition to merchandise inventory, deferrals and accruals are adjusted. This will be discussed in next chapter.

4.5) Worksheets For Merchandising Businesses

After all transactions for the year 2004 were recorded and posted, the accounts in the ledger of Far East Trading Corporation appeared with the following unadjusted balances. See the Trial Balance on the next Page. The data needed for year end adjustments on December 31 are as follows:

➤ Merchandise Inventory on December 31, 2004.....	Br	150,500.00
➤ Insurance expired during the year.....		6,400.00
➤ Store supplies inventory on December 31, 2004.....		2,150.00
➤ Depreciation for the current year.....		19,200.00
➤ Accrued Sales Salaries on December 31, 2004.....		2,800.00
➤ Accrued Office Salaries on December 31, 2004.....		1,300.00

Required:

1. Complete the worksheet
2. Prepare Income statement in Single- step and Multiple- step forms
3. Prepare a Retained earnings Statement
4. Prepare a classified Balance sheet, in a Report form
5. Record the necessary year end adjusting and closing entries on general journal Page 1
6. Prepare a Post- closing trial balance

Far East Trading Corporation Trial Balance December 31,2004		
Account Title	Dr.	Cr.
Cash.....	43,750.00	
Accounts Receivable.....	96,150.00	
Merchandise Inventory.....	145,250.00	
Store Supplies.....	8,250.00	
Prepaid Insurance.....	12,690.00	
Store Equipment.....	89,500.00	
Accumulated Depreciation -Store Equipment.....		25,300.00
Accounts payable.....		44,740.00

Chapter Four: Accounting for Merchandising Businesses

Salary payable.....		–
Capital Stock.....		180,000.00
Retained Earning.....		81,445.00
Dividend.....	60,000.00	
Income Summary.....	–	–
Sales.....		953,500.00
Sales Discount.....	2,500.00	
Sales returns and allowances.....	3,000.00	
Purchase.....	610,050.00	
Freight in.....	6,000.00	
Purchase Discount.....		6,000.00
Sales Salaries expense.....	77,400.00	
Advertising expense.....	24,800.00	
Depreciation Exp.-Store Equipment.....		
Store Supplies expense.....		
Delivery Expense /Freight Out/.....	2,000.00	
Miscellaneous Selling – Expense.....	4,400.00	
Office Salaries Expense.....	39,845.00	
Rent Expense.....	40,000.00	
Heating and lighting Expense.....	16,100.00	
Taxes expense.....	8,500.00	
Insurance expense.....		
Miscellaneous General –expense.....	3,600.00	
Interest Expense.....	1,000.00	
Gain on disposal of equipment.....		3,800.00
Total.....	<u>1,294,785.00</u>	<u>1,294,785.00</u>

FAR EAST TRADING CORPORATION WORK SHEET FOR THE YEAR ENDED DEC.31,2004										
	Unadjusted T.B		Adjustment		Adjusted T.B		Income Statement		Balance Sheet	
Account Title	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	43,750				43,750				43,750	
Accounts Receivable	96,150				96,150				96,150	
Merchandise Inventory	145,250		150,500	145,250	150,500				150,500	
Store Supplies	8,250			6,100	2,150				2,150	
Prepaid Insurance	12,690			6,400	6,290				6,290	
Store Equipment	89,500				89,500				89,500	
Accumulated Depreciation - SE		25,300		19,200		44,500				44,500
Accounts payable		44,740				44,740				44,740
Salary Payable				4,100		4,100				4,100
Capital Stock		180,000				180,000				180,000
Retained Earnings		81,445				81,445				81,445
Dividend	60,000				60,000				60,000	
Income Summary			145,250	150,500	145,250	150,500	145,250	150,500		
Sales		953,500				953,500		953,500		
Sales discount	2,500				2,500		2,500			
Sales returns and allowances	3,000				3,000		3,000			
Purchase	610,050				610,050		610,050			
Freight in	6,000				6,000		6,000			
Purchase Discount		6,000				6,000		6,000		
Sales Salaries expense	77,400		2,800		80,200		80,200			
Advertising expense	24,800				24,800		24,800			
Depreciation Exp.-Store Equip.			19,200		19,200		19,200			
Store Supplies expense			6,100		6,100		6,100			
Delivery Expense/Freight out/	2,000				2,000		2,000			
Miscellaneous Selling - expense	4,400				4,400		4,400			
Office Salaries Expense	39,845		1,300		41,145		41,145			
Rent Expense	40,000				40,000		40,000			
Heating and lighting Expense	16,100				16,100		16,100			
Taxes expense	8,500				8,500		8,500			
Insurance expense			6,400		6,400		6,400			
Miscellaneous General-expense	3,600				3,600		3,600			
Interest Expense	1,000				1000		1000			

Chapter Four: Accounting for Merchandising Businesses

Gain on disposal of equipment	<u> </u>	<u>3,800</u>	<u> </u>	<u> </u>	<u> </u>	<u>3,800</u>		<u>3,800</u>		
Total	<u>1,294,785</u>	<u>1,294,785</u>	<u>331,55</u> <u>0</u>	<u>331,550</u>	<u>1,468,585</u>	<u>1,468,58</u> <u>5</u>	1,020,245	1,113,800	448,340	354,785
Net Income							<u>93,555</u>	<u> </u>	<u> </u>	<u>93,555</u>
							<u>1,113,800</u>	<u>1,113,800</u>	<u>448,340</u>	<u>448,340</u>

4.6) Financial Statements For Merchandising Businesses**1. Prepare Income Statement In Single- Step And Multiple- Step Forms****A. Multiple-Step Income Statement**

Far East Trading Corporation Income Statement For the year ended December 31, 2004		
Revenues:	In ETB	In ETB
Sales		953,500 .00
Less: Sales Discount	2,500.00	
Less: Sales Return & Allow.	<u>3,000.00</u>	<u>(5,500.00)</u>
Net Sales		948,000.00
Cost of Merchandise Sold:		
Merchandise Inventory, January 1, 2004	145,250.00	
Purchase		
610,050.00		
Less: Purchase Discount		
<u>(6,000.00)</u>		
Net Purchase		
604,050.00		
Add: Freight in		
<u>6,000.00</u>		
Cost of Merchandise Purchased	<u>610,050.00</u>	
Cost of Merchandise Available For Sale	755,300.00	
Less: Merchandise Inventory December 31, 2004	<u>(150,500.00)</u>	
Cost of Merchandise Sold		<u>(604,800.00)</u>
Gross Profit:		343,200.00
Operating Expenses:		
Selling Expenses:		
Sales Salaries Expense		
80,200.00		
Advertising Expense		
24,800.00		
Depreciation Exp.-Store Equip.		
19,200.00		
Store Supplies Expense		
6,100.00		
Delivery Expense/Freight-Out/		
2,000.00		
Miscellaneous Selling Expense		

Chapter Four: Accounting for Merchandising Businesses

4,400.00		
Total Selling Expense	36,700.00	
General Expenses:		
Office Salaries Expense		
41,145.00		
Rent Expense		
40,000.00		
Heating and Lighting Expense		
16,100.00		
Taxes Expense		
8,500.00		
Insurance Expense		
6,400.00		
Miscellaneous General- Expense		
3,600.00		
Total General Expense	115,715.00	
Total Operating Expense		(252,445.00)
Income from Operation		90,755 .00
Other Income:		
Gain on Disposal of Equipment	3,800.00	
Other Expense:		
Interest Expense	(1,000.00)	2,800.00
Net Income		93,555.00

B. Single Step Income Statement

Far East Trading Corporation Income Statement For the year ended December 31,2004		
Revenue:		
		948,000.0
Net Sales		0
Other Income		3,800.00
Total Revenue		951,800.0
		0
Costs and Expenses:		
	604,800.0	
Cost of Merchandise Sold	0	
	136,700.0	
Selling Expense	0	

General Expense.....	115,745.00	
Other Expense.....	1,000.00	
Total Expense.....		858,245.00
Net Income.....		<u>93,555.00</u>

2. Prepare a Retained Earnings Statement

Far East Trading Corporation Retained Earnings Statement For The Year Ended December 31, 2004		
Retained earnings, January 1, 2004.....		Br 81,445.00
Net Income for the Year.....	93,555.00	
Less: Dividends.....	<u>(60,000.00)</u>	
Increase in Retained Earnings.....		<u>33,555.00</u>
Retained earnings December 31, 2004.....		<u>Br 115,000.00</u>

3. Prepare a Classified Balance Sheet

Far East Trading Corporation Balance Sheet December 31, 2004		
Assets:		In ETB
Current Assets:		
Cash.....	43,750.00	
A/Receivables.....	96,150.00	
Merchandise Inventory.....	150,500.00	
Supplies.....	2,150.00	
Prepaid Insurance.....	<u>6,290.00</u>	
Total Current Assets.....		298,840.00
Plant Assets:		
Store Equipment:.....	89,500.00	
Less: Accum. Depreciation – SE	<u>44,500.00</u>	
Total Plant Assets.....		45,000.00
Total Assets		<u>343,840.00</u>
		<u>0</u>
Liabilities and Stockholders' Equity:		
Liabilities:		
Accounts Payable.....	44,740.00	

Salary Payable.....	<u>4,100.00</u>	
Total Liabilities.....		48,840.00
Stock Holders Equity:		
Capital Stock.....	180,000.00	
Retained Earnings.....	<u>115,000.00</u>	
Total Stockholders Equity.....		<u>295,000.00</u>
Total Liabilities and Stockholders' Equity.....		<u>343,840.00</u>

4.7) Adjusting and Closing Entries

1. Adjusting Entries

General Journal				Page 1	
Date		Description	P/ R	Debit	Credit
1985		Adjusting Entries			
DEC.	3 1	Income summary		145,250	
		Merchandise Inventory			145,250
	3 1	Merchandise Inventory		150,500	
		Income Summary			150,500
	3 1	Insurance expense		6,400	
		Prepaid Insurance			6,400
	3 1	Store-supplies expense		6,100	
		Store-Supplies			6,100
	3 1	Depreciation expense		19,200	
		Accumulated Depreciation			19,200
	3 1	Sales salaries expense		2,800	
		Office salaries expense		1,300	
		Salaries payable			4,100

2. Closing Entries

General Journal					Page 1		
		Closing Entries	P/R	Debit		Credit	
DEC.	3 1	Sales		953,500			
		Purchase Discount		6,000			
		Gain on disposal of equipment		3,800			
		Income Summary				963,300	
	3 1	Income summary		874,995			
		Sales discount				2,500	
		Sales Return & Allow.				3,000	
		Purchase				610,050	
		Freight in				6,000	
		Sales Salaries expense				80,200	
		Advertising expense				24,800	
		Depreciation Exp.-Store Equip.				19,200	
		Store Supplies expense				6,100	
		Delivery Expense/Freight out/				2,000	
		Miscellaneous Selling - expense				4,400	
		Office Salaries Expense				41,145	
		Rent Expense				40,000	
		Heating and lighting Expense				16,100	
		Taxes expense				8,500	
		Insurance expense				6,400	
		Miscellaneous General-expense				3,600	
		Interest Expense				1000	
Marc h	3 1	Income summary		93,555			
		Retained Earnings				93,555	
	3	Retained earnings		60,000			

	1						
		Dividend				60,000	

3. Post Closing Trial Balance

Far East Trading Corporation Post Closing Trial Balance December 31, 2005			
Account Title	Dr.	Cr.	
Cash.....	43,750		
Accounts Receivable.....	96,150		
Merchandise Inventory.....	150,500		
Store Supplies.....	2,150		
Prepaid Insurance.....	6,290		
Store Equipment.....	89,500		
Accumulated Depreciation -Store Equip.....		44,500	
Accounts payable.....		44,740	
Salary Payable.....		4,100	
Capital Stock.....		180,000	
Retained Earnings.....		115,000	
Total.....	388,340	388,340	

4.8) Corrections of Errors

If there is error in recording transactions or posting to ledger accounts, it will be corrected through correcting entries. For example a debit purchases account may be debited to plant asset account while the credit is correctly recorded. Thus, the correcting will debit purchases account and credit the plant asset account so that the error will be corrected.

Chapter Five

Deferrals and Accruals

5.1) Adjusting for Deferrals

Deferrals are an expense that has already been paid or revenue that has already been received. Deferrals are created when we record a transaction in the way that it delays or defers recognition of an expense already paid or revenue already received. Deferrals include deferred expense (prepaid expense) and deferred revenue (unearned revenue).

A) Deferred Expense(Prepaid Expense)

Deferred Expense is an expense that has been paid but delayed for recognition. At the time an expense is paid, it may be debited either to an asset account or to an expense. Examples: supplies, prepaid insurance, prepaid rent, prepaid interest, etc. Deferred Expense may initially be recorded as an asset or as an expense.

Prepaid Expense Initially Recorded As an Asset

Advance payments or prepayments for deferred expense is recorded as debits to the appropriate asset account even though all or a part prepayment is expected to be used or consumed during the accounting period. Thus,

- The adjusting entry transfers the amount used or expired during the period to the expense account
- The amount unused remains in asset account
- Reversing entry is not required

Illustration 5.1: assume that the unexpired insurance for OLYMPIC Company on January 1, 2003 amounted to Br 7,000. On January 2, the Company purchased additional insurance policy for a total of Br 12,000. Assume further that Br 14,000 of the premium on the insurance policy is expired during the year and the Company follows the system of recording prepayment for insurance as an asset. Record the Transactions:

Initial Recording:	Prepaid Insurance.....	12,000	
January 2, 2003	Cash.....		12,000
Adjusting:	Insurance Expense.....	14,000	
December 31, 2003	Prepaid Insurance.....		14,000

Closing:	Income Summary.....	14,000	
December 31, 2003	Insurance Expense.....		14,000
Reversing:	Reversing is not required		

Prepaid Expense Initially Recorded As an Expense

In this method:

- Prepayments for deferred expense is debited to the expense accounts
- The adjusting entry transfers the amount unused or unexpired from expense account to the asset account
- The amount expired or used remains in the expense account and closed at the end.
- Reversing entry is required- an entry which is made at the beginning of the period to comply with the initial recording system and the exact reverse of the adjusting entry

Illustration 5.2: Assume all the data in the above illustration except that the business follows the system of recording prepaid insurance as an expense and that the insurance policy that applies to the future period is found to be Br 5,000. Record all the necessary transactions:

Initial Recording:	Insurance Expense.....	12,000	
January 2, 2003	Cash.....		12,000
Adjusting:	Prepaid Insurance.....	5,000	
December 31, 2003	Insurance Expense.....		5,000
Closing:	Income Summary.....	14,000	
December 31, 2003	Insurance Expense.....		14,000
Reversing:	Insurance Expense	5,000	
January 1, 2004	Prepaid Insurance		5,000

NOTE: In this system the assets account will have a zero balance where as the expense will have a balance. This balance is not an expense rather it is an asset. Reversing entry transfers the amount unused back to an expense account i.e. the amount in prepaid insurance at the beginning of the new period is transferred to the expense.

B) Deferred Revenue (Unearned Rent)

Deferred revenue is revenue that has been received but delayed for recognition. Deferred revenue includes money received in advance such as magazine subscription, tuition fee revised by school, universities or college, money received by advertising companies. Deferred Revenue is initially recorded either as an asset or as an expense.

Deferred Revenue Initially Recorded As a Liability

If Deferred Revenue is initially recorded as a liability, then:

- The adjusting entry transfers the amount earned during the period from the liability to the revenue account
- The amount unearned remains in the liability account
- Reversing entry is not required

Deferred Revenue Initially Recorded As an a Revenue

In this method:

- Cash received in advance is credited to the revenue accounts
- The adjusting entry transfers the amount unearned from the revenue account to the liability account
- The amount earned remains in the Revenue account and closed at the end
- Reversing entry is required

Illustration 5.3: On November 1, 2004 **OLYMPIC COMPANY** rented the portion of its building by receiving Br 1200 in advance for three months time. The fiscal period ends on December 31, 2004 Instruction: Make the necessary journal entries assuming that the system of recording Unearned Rent initially as a revenue and as liability:

	As a Liability			As a Revenue		
Nov.1, 2004	Cash.....	1,200		Cash.....	1,200	
	Unearned Rent.....		1,200	Rent Income.....		1,200
Dec.3 1, 2004	Unearned Rent.....	800		Rent Income.....	400	
	Rent Income.....		800	Unearned Rent.....		400
Dec.3 1, 2004	Rent Income.....	800		Rent Income.....	800	
	Income Summary.....		800	Income Summary.....		800

Jan. 1, 2005	Reversing is not required	Unearned Rent.....	400	
		Rent Income.....		400

5.2) Adjusting for Accruals

An accrual is an expense that has been incurred but not paid or revenue that has been earned but not received. Accruals include accrued expense (accrued liability) and accrued revenue (Accrued Asset).

A) Accrued Expense or Accrued Liability

Illustration 5.4: assume that on December 31, 2003 the end of fiscal year sales salary expense and office salary expense account for XYZ PLC have debit balances of Br 86,000 and 60,000, respectively. For the reason that payment date is different from the end of the accounting period, the total salary accrued is Br 10,000 out of which 4,000 was office salary expense. Assume that the business paid Br 20,000 on January 15, 2004 out of which Br 8,000 was for Office salary Expense including the accrued salary. Instruction: Record all the necessary entries assuming that the business:

- A) Does not use the policy of reversing entry
- B) Uses the policy of reversing entry

Without Reversing Entry:

December 31	Sales Salary Expense.....	6,000	
	Office Salary Expense.....	4,000	
	Salary Payable.....		10,000
December 31	Income Summary.....	156,000	
	Sales Salary Expense.....		92,000
	Office Salary Expense.....		64,000
Jan. 1, 2004:	No Reversing Entry		
Jan. 15, 2004:	Sales Salary Expense.....	6,000	
	Office Salary Expense.....	4,000	
	Salary Payable.....	10,000	
	Cash.....		20,000

With Reversing Entry:

December 31	Sales Salary Expense.....	6,000	
	Office Salary Expense.....	4,000	
	Salary Payable.....		10,000
December 31	Income Summary.....	156,000	
	Sales Salary Expense.....		92,000

	Office Salary Expense.....		64,000
Jan. 1, 2004:	Salary Payable.....	10,000	
	Sales Salary Expense.....		6,000
	Office Salary Expense.....		4,000
Jan. 15, 2004:	Sales Salary Expense.....	12,000	
	Office Salary Expense.....	8,000	
	Cash.....		20,000

Illustration 5.5: On November 1, 2003 AA Company borrowed Br 60000 from CBE issuing a promissory note payable showing 12% interest where by the loan and interest will be paid after four months (March 1, 2004). The company has a fiscal period that ends on December 31 and the interest expense account has a balance of Br 17000 at year end. Make the necessary journal entries for the Company assuming that the company:

A) does not use the reversing entry

B) use the policy reversing entry

With Out Reversing Entry:

Nov. 1, 2003	Cash.....	60,000	
	Notes Payable.....		60,000
Dec. 31, 2003	Interest Expense.....	1,200	
	Interest Payable.....		1,200
Dec. 31, 2003	Income Summary.....	18,200	
	Interest Expense.....		18,200
Jan. 1, 2004	No Reversing Entry		
March 1, 2004	Notes Payables.....	60,000	
	Interest Payable.....	1,200	
	Interest Expense.....	1,200	
	Cash.....		62,400

With Out Reversing Entry:

Nov. 1, 2003	Cash.....	60,000	
	Notes Payable.....		60,000
Dec. 31, 2003	Interest Expense.....	1,200	
	Interest Payable.....		1,200
Dec. 31, 2003	Income Summary.....	18,200	
	Interest Expense.....		18,200

Jan. 1, 2004	Interest Payable.....	1,200	
	Interest Expense.....		1,200
March 1, 2004	Notes Payables.....	60,000	
	Interest Expense.....	2,400	
	Cash.....		62,400

B) Accrued Revenue or Accrued Assets

These are items of revenue that have been earned at the end of the accounting period but not recorded because cash is not received. Since the business recognizing both revenue and assets it is so called Accrued Revenue or Accrued Assets.

Illustration 5.6: On September 1, 2000 BB Auditing Firm entered into a contract with Dire-Dawa Food Complex to provide auditing service for 6 months for a total of Br 36,000 Payable when the service is completed. The fees income account of the firm has a credit balance of Br 126,000 and that the firm has a fiscal year ending on December 31. Make the necessary journal entries for the firm assuming that

- A) Reversing Entry is not Used
- B) Reversing Entry Is Used

With No Reversing Entry:

Dec. 31, 2000	Fees Receivables.....	24,000	
	Fees Revenue.....		24,000
Dec. 31, 2000	Fees Revenues.....	150,000	
	Income Summary.....		150,000
Jan. 1, 2001	No Reversing		
March 1, 2001	Cash.....	36,000	
	Fees Receivables.....		24,000
	Fees Revenue.....		12,000

With Reversing Entry:

Dec. 31, 2000	Fees Receivables.....	24,000	
	Fees Revenue.....		24,000
Dec. 31, 2000	Fees Revenues.....	150,00	

Chapter Five: Accounting for Deferrals and Accruals

		0	
	Income Summary.....		150,000
Jan. 1, 2001	Fees Revenues	24,000	
	Fees Receivables		24,000
March 1, 2001	Cash.....	36,000	
	Fees Revenue.....		36,000

Chapter Six

Accounting Systems Design

Accounting system is a system which provides the information for use in conducting the affairs of the business and in reporting to owners, creditors and other interested parties. In a general sense, an accounting system includes the entire network of communications used by a business organization to provide needed information. It consists of business paper (source document), records (journals and ledger) and reports (financial statements).

6.1) Principles of Accounting Systems

Because of differences in businesses, in number of transactions to be processed and in the uses made of accounting data, accounting systems will vary from business to business. However, there are a number of broad principles that are discussed as follows and apply to all systems:

➤ **Cost- Effectiveness Balance**

The major considerations in developing or designing an accounting system are cost effectiveness. That is to balance the benefits against the cost information. Cost of information at least should be equal to the benefit of information

➤ **Flexibility to Meet Future Needs**

An accounting system must be flexible enough to meet changing demands of the businesses world. The business must adapt to the constantly changing environment in which it operates. For example, changes in accounting principles or data processing technology or other factors should comply with the government regulations.

➤ **Adequate Internal Controls**

An accounting **system** must provide information which help management in planning and controlling activities. The system should aid management in directing operations. The detailed policies and procedures used to direct operations and provide reasonable assurance that entity's objectives are achieved are called internal controls. An accounting system should show any deviation from the internal controls structure.

➤ **Effective Reporting**

When reports (financial Information) are prepared, the requirements and knowledge of the user should be recognized. For example, management may need detailed basis, and regulatory agencies often require uniform data.

➤ **Adaptation to Organizational Structure**

Different businesses may have different organizational structure and level of management. Therefore, an accounting system that goes with the

organizational structure must be designed to meet the information needs of all level of management at the lowest cost.

6.2) Accounting System Installation and Revision

Before designing and installing or reviewing an accounting system for an enterprise, the designer must have a complete knowledge of the business operations. The designer should recognize that some areas of the system, such as the types and design of the forms needed and the number and titles of the accounts required, maybe affected by factors that are not known when a business is first organized. As new information about a business is obtained and as a basins “out grows” or expands to new operational areas, the system will need to be revised.

Many large businesses continually review their accounting system and may constantly be involved in changing some part of it. The job of installing or changing an accounting system, either in its entirety or only in part, is made up of three phases:

- System Analysis
- System Design and
- Implementation

1. System Analysis

The goal of system analysis is to determine information needs and sources of such information, and deficiencies in procedures and data processing methods presently used. The system analyst should determine management’s plans for changes in operations such as volume, products, territories, etc.

2. System Design

This deals with determining the requirement of the new system and changing it based on the result of the system analysis. In this stage a proposal for the new system is prepared and finalized.

3. System Implementation

The final stage of the creation or revision of an accounting system is to carry out, or implement the proposals fro the new system. It includes:

- Installing new or revised forms, records, procedures and equipment
- Training and supervising all personnel responsible for operating the system until satisfactory efficiency is achieved.
- The old system is changed over time by new system. This is done gradually over an extended period rather than all at once. Weakness and conflicting or unnecessary elements in the design may also become apparent during the implementation.

6.3) Internal Control Principles and Structure

Internal control structure consists of the policies and procedures established to provide reasonable assurance that the entity's objective will be achieved. This internal control structure can be divided into three elements: (1) the control environment, (2) the control procedures, and (3) the accounting system, each of which is discussed as follows:

1. The Control Environment

The control environment represents an overall attitude toward and awareness of the importance of controls by management and other employees. Factors influencing the control environment of an enterprise include management's philosophy and operating style, the organizational structure of the enterprise and personnel policies and practices.

2. The Control Procedures

The general control procedures (strong internal control guidelines) which apply to all organization through an accounting system are:

➤ Competent Personnel and Rotation of Duties

All accounting system requires procedures to ensure that people are able to perform the duties to which they are assigned. It is also advisable to rotate clerical personnel periodically from job to job.

➤ Assignment of responsibility

If employees are to work efficiently, their responsibilities must be clearly defined

➤ Separation of responsibility

The responsibility for a sequence of related operations should be divided among two or more persons. For example, no one individual should be authorized to order merchandise, verify the receipt of the merchandise and pay the supplier. That is purchasing, receiving and payment should be separated. The business documents prepared as a result of the work of each department must fit with those prepared by the other departments

➤ Adequate Documentation

There is control without adequate documentation.

➤ Separation of accounting and operations

The responsibility for maintaining the accounting records should be separated from the responsibility for engaging in the business transaction and for the custody of the firm's asset. A cashier should be not having access to the journal and ledger.

➤ Proofs and Security Measures

This control procedure includes the use of bank account and safekeeping measures for cash and other valuable documents, cash registers machine to record daily cash sales and fidelity insurance.

➤ Independent Review

To determine whether internal control procedures are being effectively

applied, the control structure should be periodically reviewed and evaluated by internal auditors. Internal auditors should report any weakness and recommend changes to correct them

3. The Accounting System

The Accounting system is an integral part of the internal control structure of an enterprise. Without the information generated by the accounting system, management would lack the ability to plan and direct operations in achieving goals and objectives.

6.4) Data Processing Methods: Special Journals and Subsidiary Ledgers

Depending upon the variety and the amount of data included in the database, various processing methods- manual and computerized may be used. These processing methods may use special journals and subsidiary ledgers to process an accounting data.

Special Journals: are journals used to record only one type of transaction. It is especially useful to accumulate a transaction with recurrent nature. This saves time and costs. For example: most businesses use the following four special journals:

- Purchases journal
- Cash payment journal
- Sales journal
- Cash receipts journal

Subsidiary Ledgers: ledgers that are used to provide detail information about a general ledger accounts. Subsidiary ledgers may include accounts receivables, account payables, subscriber's subsidiary ledgers, stock subsidiary ledgers, etc.

Chapter Seven

Accounting For Cash and Temporary Investments

7.1) Controls over Cash

Definition of Cash: is a medium of exchange that a bank accepts for deposit and used immediately. As per this definition, cash includes the following items: coins, currencies, change fund, petty cash fund, balances in the unrestricted savings account and checking account, bank debit cards, bank credit cards such as master and visa cards which are acceptable by the commercial banks, money orders (postal or bank), travelers checks, CPO, personal checks, bank drafts, undeposited cash receipt (cash on hand).

Non-Cash Items: Even if all items other than cash are non-cash ones some non cash items are confusing with cash and they are worth discussing at this point in time. Included in this category are: NSF check-receivable, Post dated check-receivable, postage stamps-supplies or inventory, IOUs-receivable, treasury bills-receivables, certificate of deposits-short term investments, compensating balances-some other asset, travel advances-receivable, bank balance in the blocked account-some other asset, saving account balances-some other asset, if it has got some sort of restrictions such as not be able to withdraw, say, Birr 5,000 unless prior notice of 10 days are served. However, savings accounts are usually classified as cash although the bank has the right to demand notice before withdrawal in that banks rarely exercise the privilege of prior notice.

Objectives of Cash management and control: there must be strong control over cash because:

- Cash enters many transactions in the form of paying and receiving and it is vulnerable to misappropriation and embezzlement
- Cash lacks identification of ownership.

To maintain the optimal amount of cash i.e. the amount of cash should be carefully regulated so that neither too much nor too little is available at any time. If there is excess it has to be invested temporarily to secure dividends, interest or other form of revenue. If shortage is predicted relevant sources of financing should be envisaged well in advance failure of which disrupts the operation of the business organization, cases of ill-liquidity in the short term and insolvency in the long term which might lead, at times, to liquidation.

Cash is the asset most likely to be used improperly by employees so it must be effectively safeguarded by special control. Businesses use different techniques

to control cash. Some these controls are useful to control over cash receipts while some are useful to control over cash payments.

Internal controls over cash receipts

- Use of cash register machine
- Use of pre-numbered and consecutive sales tickets
- Two or more persons should open and record the cash receipts through the mail
- Use of Electronic scanning equipment
- Use of Change fund
- Use of Bank System
- Use of Cash Short and Over Account

Internal Controls over Cash Payments

- Use of Petty Cash Fund
- Use of Voucher System
- Use of Bank System
- The Net Method of recording Purchases as opposed to Gross method

A) Cash Register: *Cash received over the counter should be rung up on a cash register so that the customer would see the amount recorded. On the other hand the cashier records the amount simultaneously on a cash register tape, which is not accessible. At the end of business or at the end of the day, the controller in whose hand the key for the cash register tape is kept unlocks the cash register and compares the actual cash count with the tape.*

B) Pre-numbered Sales Tickets: At the time of control if number(s) is (is) missing, it might be an indicator that some sort of misappropriation is made and the corrective measure should be taken in the proper time. Any page be it defective, void etc. should be kept in the *pad*.

C) Two or more employees should open the mail together: this control technique reduces the likelihood of a single dishonest employee stealing cash undetected. They prepare a schedule showing the name of the customers sending money, the purpose for which the money was sent and the amount received. One copy is sent to the cashier with cash and the second copy is sent to the accounting department for recording purpose and the third copy is filed. The cashier deposits the cash in the bank as soon as possible daily, if not possible the next day morning. The accounting department credits customers account and make other appropriate entries. Later another individual compares the amount deposited by the cashier with the total amount credited to various accounts. Theft and errors will be revealed whenever these two amounts are not the same.

D) Electronic Scanning Equipment: Many large super markets have achieved

faster check out lines and stronger internal control by this equipment to read and record the price of all groceries passing the check out counters.

E) Change Fund: It is a fund set up to make changes so that the cashier receives neither above nor below the sales. It is usually kept with the daily sales receipt. At the close of a business day the amount of change fund is re-kept in different denominations of currency and coins. The daily sales receipt along with any cash overage is banked in tact, daily

F) Bank System

- All cash received must be deposited in the bank and all payments must be made by checks drawn on the bank unless the amount is small.
- In some cases, a bank may require a business to maintain in a bank account a minimum cash balance, called *a compensating balance*.
- The requirement of compensating balance is imposed by the bank as apart of loan agreement.
- In Banking System different forms are used by depositors. The forms used in connection with a bank accounts are:-

1. Signature Card

When an account is opened, an identifying number is assigned to the account, and each person authorized to sign checks drawn on the account must sign a signature card. The card is used by the bank to determine the authenticity of the signature on the checks presented for payment.

2. Deposit Ticket/Slip

Deposit Slip/ Ticket is prepared in duplicate, in which case the copy is stamped or initialed by the bank's teller and given to the depositor as a receipt.

3. Check

A check is a written instrument signed by the depositor, ordering the bank to pay a certain sum of money to the order of a designated person.

There are three parties regarding check:

1. **Drawer:** The one who signs the check
2. **Drawee:** the bank on which the check is drawn
3. **Payee:** - the one to whose order the check is drawn
 - The name and the address of the depositor are printed on each check and the check is usually numbered in sequence to facilitate the depositor's internal control
 - Business firms may prepare a copy of each check drawn and they use it as a basis for recoding the transaction in the cash payment journals.
4. **Records of Checks Drawn:** this cash payment journal in which all cash payment in check is recorded up on.
5. **Remittance Advice:** Checks issued to a creditor on account are accompanied by a notification called a remittance advice. This form notifies the creditor to record the appropriate credit and is sent along with checks.
6. **Stop Payment Order:** the form that forbids the bank not to make for checks

presented because of lost checks or cheated checks.

7.2) Bank System: Bank Account; Bank Statement and Bank Reconciliation Statement

Bank Account

- Cash in bank account in the depositor's ledger is the reciprocal of the account with the depositor in the bank's ledger.
- Cash in bank in the depositor's ledger is an asset with a debit balance, and the account with the depositor in the bank's ledger is a liability with a credit balance.

Bank Statement

The bank statement shows the beginning balance, checks and other credits (addition by the banks), checks and other debits (deduction by the bank from the depositor's account) and the balance at the end of the period. The bank credits the depositor's account for:

- Deposits by customer
- Receipts from notes receivable left for collection
- Loans to the depositor

The bank debits the depositor's account for:

- Paid or cancelled checks
- Service Charges
- Deposited Checks but returned because of insufficient funds (NSF)

Bank Reconciliation Statement

Why Bank Reconciliation Statement? As we discussed, there are double records for the same cash, one of which is maintained by the Bank and the other is maintained by the Depositor. The two records should have equal balance, but they are not likely to be equal on any specific date because of:

1. Delay by either party in recording transactions
2. Errors by either party in recording transactions

Thus, to determine the reasons for any difference and to correct any errors that may have been made by the bank or the depositor, the depositor records should be reconciled with the bank statement using bank reconciliation statement. Bank Reconciliation Statement is prepared once each month.

Elements of Bank Reconciliation

1. Delay in Recording Transactions by the Bank

A) Outstanding Deposits:

A time lag between the date of the deposit and the date it is recorded by the bank. E.g. the depositor may mail deposits to the bank or use the night

depository.

B) Outstanding Checks:

A time lag of one day or more between the date a check is written and the date it is presented to the bank for payment. E.g. on the business account, checks are recorded on the date on which they are issued by crediting cash though the bank does not yet pay it.

Accounts Payable.....	xxx	
Cash in Bank.....		xxx

2. Delay in Recording Transactions by the Depositors

A) Bank Debit Memo

This decrease the cash in bank balance of the depositor and includes items such as:

- Not Sufficient Fund (NSF)
- Service Charge
- Check Printing

Not sufficient Fund (NSF)

It refers to an amount of money collected from a customer in the form of check and deposited to the depositor's bank checking account while the customer did not have adequate balance to cover the amount written on the check. Example Sales on Account:

Accounts Receivables – X Co.....	xxx	
Sales.....		xxx

Money Collected From X-Company in the Form of Check

Cash.....	xxx	
Accounts Receivables – X Co.....		xxx

Unfortunately, no adequate balance of cash in customer's account

Accounts Receivables – X Co.....	xxx	
Cash in Bank.....		xxx

B) Bank Credit Memo

It increases the cash in bank balance of the depositor since cash in bank has a credit balance in bank's ledger. Example: Proceeds of notes receivable and interest

3. Errors committed either by the Bank or the Depositor

Any error that has been made by the bank or by the depositor affects the two records. Thus, it should be considered in the Bank Reconciliation Statement.

Format of Bank Reconciliation Statement

Name of The Company Bank Reconciliation Statement
--

Date: Usually Month of Reconciliation		
Balance as per Bank Statement.....		xxx
Add: Deposit in Transit.....	xxx	
Bank Errors.....	xxx	xxx
Sub-Total.....		xxx
Less: Outstanding Checks.....	xxx	
Bank Errors.....	xxx	(xx x)
Adjusted Cash Balance.....		xxx
Balance per Depositor Records.....		xxx
Add: Notes And Interest Collected By Bank.....	xxx	
Depositor Error.....	xxx	xxx
Sub Total.....		xxx
Less: NSF (Not Sufficient Fund).....	xxx	
Bank Service Charge.....	xxx	
Depositor Errors.....	xxx	(xx x)
Adjusted Cash Balance.....		xxx

Example 7.1: the reconciling items on February 28, Year 5, bank reconciliation of XYZ Company were as follows:

1. Balance in the bank statement, Feb 28, year 5 is Br 16,600
2. Balance in cash ledger account, Feb 28, year 5 is Br 11,060
3. Bank service charges for February, year 5 is Br 50
4. Deposit-in-transit, Feb 28, year 5 in Br 1,200
5. Error in XYZ Co. recording of Check No. 654 to vendor, ABC company (Br 400 check recorded by XYZ as Br 40)
6. Interest on note receivable collected by bank for XYZ Co. on Feb 28, year 5 was Br 300
7. NSF checks for customer, Bell Company, charged back by bank on Feb 28, year 5 was Br 250.
8. Outstanding checks (total) Feb 28, year 5 is Br 4,100
9. Principal of notes receivable collected by bank for XYZ Co. on Feb 28 year 5 was Br 3,000

Required: Prepare Bank Reconciliation Statement for XYZ Company and journalize the necessary entries

XYZ Company
Bank Reconciliation
February 28, Year 5

Balance as per Bank Statement.....		Br 16,600
Add: Deposit in Transit.....		<u>1,200</u>
Sub-Total.....		17,800
Less: Outstanding Checks.....		(4,100)
Adjusted Cash Balance.....		<u>13,700</u>
Balance per the Depositor Record.....		11,060
Add: Notes Collected By Bank.....	3,000	
Interest on Note Collected By Bank.....	300	<u>3,300</u>
Sub-Total.....		14,360
Less: NSF (Not Sufficient Fund).....	250	
Bank Service Charge.....	50	
Error in Recording Ck. No. 654 (400 – 40).....	<u>360</u>	(660)
Adjusted Cash Balance.....		<u>13,700</u>

The Journal Entries Based on The Bank Reconciliation is as follows:

Feb. 28, Year 5:	Cash-in-Bank.....	3,300	
		0	
	Notes Receivable.....		3,000
			0
	Interest Income.....		300
Feb. 28, Year 5:	Miscellaneous Administration Expense.....	50	
	Accounts Receivable - Bell Co.....	250	
	Accounts Payable – ABC Co.	360	
	Cash-in-Bank.....		660

Note: The data needed for adjusting entries are provided under the depositor section of bank Reconciliation Statement.

7.3) Internal Control over Cash Receipts and Payments

Internal Control Procedures

The following factors should be taken into consideration in internal control

- Is the pool of cash protected from theft?
- Is the pool of cash managed efficiently to avoid both shortage and idle cash?
- Is there close control over cash disbursements for the true payee and correct amount?

Internal Control over Cash Payments

1. All disbursement should be made by checks or from petty cash.
2. All checks should be serially numbered, and accesses for check should be

- limited to employee authorized to write checks.
3. The employee who authorized payment of bill should not be allowed to sign checks.
 4. Approved documents should be required to supports all cheek issues.
 5. The employee authorizing cash disbursements should certify that payment is for legitimate purpose and is made out for the exact amount and to the proper aim.
 6. The bank reconciliation should be prepared monthly.
 7. The employee who will signed checks should not have access to canceled checks and should not prepare the bank reconciliation.
 8. The voucher system should be used.
 9. The net price method of recording purchases should be used.
 10. When liabilities are paid the documents supporting it should be stumped “paid” under quotes and the date number of checks issued should be indicated.

Internal Control Procedures over Cash Receipts

1. Prompt recording of all sorts of cash receipts
2. Depositing all cash receipts in bank promptly
3. Separation of the responsibility for handling cash receipts and recording in the accounting system.

Cash Short and Over

The amount of cash actually received during a day often does not agree with the record of cash receipts. **Example 7.2:** Total amount of coins and paper money in the cash register drawer is Br 4,997.60. Total amount of sales shown on the cash register tape is Br 5,000.

- Sales as per Cash Register Tapes.....5,000.00
- Cash in a Drawer.....4,997.60
- Cash Shortage.....2.40

Journal Entry:

Cash-in-Bank.....	4,997.60	
	0	
Cash Short & Over.....	2.40	
Sales.....		5,000.00
		0

Note: If there is a *debit balance* in the cash short & over account at the end of the period, it is treated *as expense and included in “Miscellaneous Expenses”*. If there is a *credit balance*, it is revenue and listed in *“Other Income Section”*. If the balance becomes larger than the expected minor errors, management should take corrective measures.

Cash Change Fund

Business that receives cash directly from customers must maintain a fund of currency and coins in order to make change. **Example 7.3:** Suppose the change fund amount to be Br 500 at the time of establishment. Therefore, the record will be:

Cash on hand.....	50 0	
Cash in Bank.....		50 0

Assume at the end of business day the amount in the cashier drawer and on the cash register tape is 7,680, so the amount of sales should be:

- Cash in a Drawer..... 7,680.00
- Change Fund..... (500.00)
- Sales..... 7,180.00

Cash in Bank.....	7,18 0	
Sales.....		7,18 0

Assume at the end of business day the amount in the cashier drawer is 7,677.40 and the amount on the cash register tape is 7,180. The amount of cash received from sales = $7,677.40 - 500.00 = \text{Br } 7,177.40$

- Sales as Per the Register..... 7,180.00
- Cash in a Drawer..... (7,177.40)
- Cash Shortage..... 2.60

Cash in Bank.....	7,177.4 0	
Cash Short & Over	2.60	
Sales.....		7,180.0 0

The Voucher System

Voucher is a special form on which is recorded relevant data about a liability and the details of its payment. It is prepared by accounting department on the basis of invoice or a memorandum that serves as proof of expenditure. This is done after the following comparisons:

1. Comparison of the invoice with a copy of the purchase order to verify quantities, prices and terms.
2. Comparison of the invoice with the receiving report to verify receipt of the items billed
3. Verification of the arithmetic accuracy of the invoice.

The Voucher System and Management

The voucher system not only provides effective accounting controls but also aids management in discharging other responsibilities. It gives greater assurance that all the payments are made on valid liabilities. In addition, current information is always available for use in determining future cash requirements which results in:

- Effective cash management
- Maintaining a favorable credit standing by taking cash discount and other invoices can be paid on the final day of credit period.

Purchase Discounts: Net Method of Recording Purchases

In previous chapters, purchase of merchandise were recorded at the invoice price (gross amount) and cash discount is taken at the time of payment but this method does not measure the cost of failing to take discounts (management efficiency). If purchase of merchandise is recorded at net amount, it measures the cost of failure to cash discounts and gives management an opportunity to take remedial actions.

Example 7.4: On Nov 1, ABC Company purchases merchandise with an invoice price of birr 15000 subject to terms of 2/10, n/30 FOB shipping point. Required:-pass the journal entries to be made by the purchaser at a time of purchase and payment under the gross and net price method of recording purchase assuming:

1. Payment was made on Nov. 11(Within the Discount Period)
2. Payment was made on Nov. 30(Outside the Discount Period)

	I) At the Invoice Price (Gross Method)			II) At Net Amount		
Nov.1	A) At the time of purchase			A) At the time of purchase		
	Purchases.....	15,000		Purchases.....	14,700	
	A/Payable.....		15,000	A/Payable.....		14,700
Nov. 11	B) At the Time of Payment			B) At the Time of Payment		
	1) Within the Discount Period			1) Within the Discount Period		
	A/Payable.....	15,000		A/Payable.....	14,700	
	Cash.....		14,700	Cash.....		14,700
	Pur. Discount.....		300			
Nov. 30	2) Out side the Discount Period			2) Out side the Discount Period		
	A/Payable.....	15,000		A/Payable.....	15,000	
	Cash.....		15,000	Discount Lost.....	300	
				Cash.....		15,000

Note: Any discounts not taken are then recorded in an expense account called

Discount lost.

Petty Cash

It is a fund of money that is set for the purpose of making payments for small expenditure occurring very frequently and that do not justify the use of checks, since checks has printing costs and delay for approval of checks. In establishing a petty cash fund, the first step is to estimate the amount of cash needed for disbursements of relatively small amounts during a certain period such as a week or a month.

Petty Cash.....	XXXX X	
Cash in Bank.....		XXXX X

❖ If voucher system is used:

Petty Cash.....	XXXX X	
Accounts Payable.....		XXXX X
Accounts Payable.....	XXXX X	
Cash in Bank.....		XXXX X

The fund is replenished when the amount of money in the petty cash fund is reduced to the predetermined minimum amount and at the end of an accounting period. **Example 7.5:** On December 1, 1993, ABC Co. established a petty cash fund of Br 450.

Petty Cash.....	450.0 0	
Cash in Bank.....		450.0 0

December 19, 1993, because the money in the fund is reduced to Br 93.60, the fund is replenished. The disbursements are as follows.

➤ Delivery Expense.....	112.50
➤ Office Supplies.....	62.28
➤ Utility Expense.....	<u>180.00</u>
➤ Total.....	<u><u>354.78</u></u>

Compute Cash Shortage and Over:

➤ Petty Cash Balance	450.00
➤ Total Expenditure	<u>354.78</u>
➤ Expected Cash to be on Hand.....	95.22
➤ Less: Actual cash on hand.....	<u>(93.60)</u>
➤ Cash Shortage.....	<u><u>1.62</u></u>

Journal Entry:

Delivery Expense.....	112.50	
Office Supplies.....	62.00	
Utility Expense.....	180.00	
Cash Short & Over.....	1.62	
Cash in Bank.....		356.40

Dec 31, 1993, the cash in fund is Br 240.75. The fund is replenished to include petty cash payment of :

➤ Delivery Expense.....	85.50
➤ Office Supplies.....	<u>123.75</u>
➤ Total.....	<u>209.25</u>

Compute Cash Short and Over

➤ Petty Cash Fund.....	450.00
➤ Less: Total Expenditure.....	<u>209.25</u>
➤ Expected Cash.....	240.75
➤ Actual Cash on Hand.....	<u>240.75</u>
➤ Cash Short and Over.....	<u>0</u>

Journal Entry is as follows:

Delivery Expense.....	85.50	
Office Supplies.....	123.75	
Cash in Bank.....		209.25

January 1, management decides the petty cash fund must be increased to Br 675.00

➤ New Petty Cash	675.00
➤ Already Established.....	<u>450.00</u>
➤ Incremental Petty Cash.....	<u>225.00</u>

Then the journal entry is debiting Petty Cash and Crediting Cash in Bank by Br 225.00. If petty cash is increased by Br 675, the journal entry will be debiting Petty Cash by Br 675.00 and Crediting Cash in Bank by the same amount

7.4) Temporary Investments

A business may have a large amount of cash on hand that is not needed immediately, in such a cause; the business may put all or part of it into income yielding investment such as:

- Certificates of depositors
- Money markets
- Treasury bills

In many cases, the idle cash is invested in securities that can be quickly sold

when cash is needed. Such securities are known as Temporary investments or marketable securities. Temporary investments in securities include stocks and bonds. Short term investment is accounted for under lower of cost or market on aggregate basis.

Example 7.6:

Temporary Investment	Cost	Market	Unrealized Gain (Loss)
Security A	30,500.00	28,750.00	1,750.00
Security B	19,200.00	22,100.00	(2,900.00)
Security C	21,600.00	23,900.00	(2,300.00)
Security D	<u>70,300.00</u>	<u>65,250.00</u>	<u>5,050.00</u>
Total	<u>141,600.00</u>	<u>140,000.00</u>	<u>1,600.00</u>

Marketable equity securities would be reported in the current asset section of the balance sheet at market value of 140,000. No recognition of gain.

Chapter Eight

Accounting for Receivables

Receivables are amounts that are expected to be collected from different entities such as customers and organizations

8.1) Classification of Receivables

Based the source, receivables are classified as trade and non trade receivables:

- 1) **Trade Receivables** – receivables that originate from the major operation of the business such as sale of goods or services on account
- 2) **Non-trade Receivables**- receivables that originate from miscellaneous source rather than the major operation of the business and includes lending money to:
 - Outsiders
 - Employees as advance
 - Officers

Based on the nature, receivables are classified in to two as Accounts Receivable and Notes Receivables:

- 1) **Accounts Receivable:** are receivables based on non written or oral promises to pay for goods and services on credit. Accounts receivable:
 - Are open accounts
 - Are normally collectible within 60 days
 - Are non interest bearing
- 2) **Notes Receivable:** is receivables based written promises to pay certain sum of money on a specified future date to the bearer of the note. Promissory Note (Notes Receivables):
 - Note is a written promise to pay a sum of money on demand or at a definite time.
 - Are usually used for credit periods of more than 60 days and for transaction of relatively large amounts.
 - May also be used in settlement of an open account (Account receivables) and in borrowing or lending money, since note is legal and formal instrument.

This classification is not mutual exclusive rather it is an overlapping classification because a receivable can be both trade and accounts receivable or trade and notes receivables. All receivables that are expected to be realized in cash with in a year are presented in the current assets section of the balance sheet. Those receivables that is not currently collectible such as long-term loans should be presented under the caption “Investments” below the current asset section.

Characteristics of Notes Receivables:

1. Notes receivable is more liquid than Accounts Receivables
2. Notes receivable can be made interest bearing or non interest bearing. A note that provides for the payment of interest for the period between the issuance date and the due date is called an interest bearing note. If the note makes no provision for interest, it is said to be non-interest bearing note.
3. Promissory notes have a stronger legal status than open accounts.
4. There are two parties regarding notes: (1) Payee – the party to which the ordered note is payable, and (2) The Maker – the party which is making the promise.

Example 8.1: On May 1, 2005 GG Co purchased merchandise for Br 5,000 from XYZ Co giving a written promise to pay after 90 days. Determine the Payee and the maker of the note

Payee: XYZ Company

Maker: GG Company

8.2) Determination of Interest, Due Date, and Maturity Value**1. Determination of Interest**

$$\text{Interest} = \text{Principal} @ \text{Rate} @ \text{Time}$$

Example 8.2: Compute the interest on Br 10,000, 12%, 90 days promissory note.

➤ Interest = 10,000 @ 12% @ 90/ 360

➤ Interest = Birr 300

2. Determination of Due Date

Due Date (Maturity Date): is the date on which the note is to be paid. The term of the note may be stated in terms of specified number of days or months. When the term of a note is stated in days, the due date is the specified number of days after its issuance. When the term of a note is stated as a certain number of months after the issuance date, the due date is determined by counting the number of months from the issuance date.

Example 8.3: X Company issued 90 days, 12%, Br 10,000 note, dated October 14 to Y Corporation in settlement of an open account. Determine the due date of the note.

Solution:

Terms of the note.....		90 Days
Days remaining in October (31-14).....	17 Days	
Days in November.....	30 Days	
Days in December.....	31 Days	
Total.....		<u>78 Days</u>
Due Date, January.....		<u>12</u>

Example 8.4: W Company issued a 60-day, 12% Br1000, dated May 10, to L Corporation. Determine the due date of the note?

Solution:

Terms of the note.....		60 Days
Days remaining in May (31-10).....	21 Days	
Days in June.....	30 Days	
Total.....		51 Days
Due Date, July.....		9

Example 8.5: The Maturity Date of a 3 months note dated June 5 would be on September 5. On those cases in which there is no date in the month of maturity that corresponds to the issuance date, the due date will be the last day of that month.

3. Determination of Maturity Value

- The amount that is due at the maturity or due date is called the maturity value
- The maturity value of a non-interest bearing note is the face amount.
- The maturity value of interest-bearing note is the sum of the face amount and the interest.

Example 8.6: W Co. issued a 60 day, Birr 10,000, 12% interest bearing note , dated may 19 to L Corporation on account. Determine the Maturity Value of the Note.

Solution:

➤ Face Value.....	Br 10,000.00
➤ Add: Interest (10,000 @ 12% @ 60/360).....	<u>200.00</u>
➤ Maturity Value.....	Br <u>10,200.00</u>

8.3) Accounting For Notes Receivable

If the accounts of a customer become delinquent, the creditor may insist that the account be converted into a note. If the debtor is given more time and the creditor needs more funds, the note may be endorsed and transferred to a bank or other financial agency.

Example 8.7: ABC Co purchased merchandise for Br30, 000 on Nov 11, 1995 with terms 2/10, n/30 from XYZ Corporation. However, as ABC Company didn't pay its account to its creditors on the agreed date (Dec.11, 1995) and XYZ Corporation insisted the debtor to give a note in the place of the open account (A/R). Consequently, ABC Company signs a Br 30,000, 12%, 90 days interest bearing note dated December11, 1995. Required: Record the appropriate journal entry to be made by XYZ Corporation (seller):

1. On December 11, 1995 when the note was received
2. On December 31, 1995, end of the fiscal year
3. At maturity date of the note
 - A. Assuming reversing entry was made on Jan 1, 1996
 - B. Assuming reversing entry was not made on Jan 1, 1996

Solution:

1. To convert an open account to a note

Dec. 11, 1995:	Notes Receivable.....	10,000.0 0	
	Accounts Receivable.....		10,000.0 0

2. To record accrued interest for 20 days

- From Dec. 11 to Dec. 31 = 20 days
- Accrued Interest = 30,000 @ 12% @ (20 / 360) = Br 200

Dec. 31, 1995:	Interest Receivable.....	200.00	
	Interest Income.....		200.00

3. On Maturity Date

- A. Assuming Reversing Entry was made

Terms of the note.....		90 Days
Days Remaining December (31-11).....	20 Days	
Days in January.....	31 Days	
Days in February.....	29 Days	
Total.....		80 Days
Due Date: March.....		10

March 10, 1996:

Cash.....	30,900.0 0	
Notes Receivable.....		30,000.0 0
Interest Income.....		900.00

- B. Assuming Reversing Entry was not made

Cash.....	30,900.0 0	
Notes Receivable.....		30,000.0 0
Interest Receivable.....		700.00
Interest Income.....		900.00

Discounting of Notes Receivable

Discounting of notes receivable refers to the act of selling a note receivable by a company to financial institutions before the maturity date of the note and get net cash proceeds in return. When a company is in need of cash, it may transfer its notes receivable to a bank by endorsement.

- The discount charged by the bank is computed on the maturity value of the note for the period of time the bank holds the note. I.e. the time that will pass between the date of the transfer and the due date
- The amount of the proceeds paid to the endorser is the excess of the maturity value over the discount
- There are three parties: (1) **Maker**: the one who makes a note, (2) **Endorser**: the one who takes the proceeds and (3) **Payee**: the bank or other Financial Institution accepting the Note.

Example 8.8: XYZ Corporation discounted the 90 days, 12%, Birr 30,000 notes receivable dated December 11, 1995 on December 21 at the rate of 14% at its local bank. **Required:** Determine the proceeds and record the journal entries at the time of discounting the note.

$\text{Net Cash Proceeds} = \text{Maturity Value} - \text{Bank Discount Amount}$
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Where Maturity Value = Principal + Interest

Bank Discount = Maturity Value @ Bank Discount Rate @ Time

Solution: The Discount Period: (Dec. 21 – Feb. 9) = 50 days

Face Value of Note Dated Dec. 11.....	10,000.00
Interest 60,000 @ 12% @ 60/360.....	<u>200.00</u>
Maturity Value.....	10,200.00
Bank Discount = 10,200 @14% @ 50/360.....	<u>198.33</u>
Net Cash Proceeds.....	<u><u>10,001.67</u></u>

Journal Entry:

Dec. 21, 1991:	Cash.....	10,001.67	
	Notes Receivable.....		10,000.00
	Interest Income.....		1.67

Example 8.9: Assume the above note is discounted at 15% instead of 14%. Determine the net cash proceeds and record the journal entry.

Solution:

Face Value of Note Dated Dec. 11.....	10,000.00
Interest 60,000 @ 12% @ 60/360.....	<u>200.00</u>
Maturity Value.....	10,200.00
Bank Discount=10,200 @14% @ 50/360.....	<u>212.50</u>
Net Cash Proceeds.....	<u>9,987.50</u>

Journal Entry:

Dec. 21, 1991:	Cash.....	9,987.50	
	Interest Expense.....	12.50	
	Notes Receivable.....		10,000.00

Note: If the Cash Proceeds > Face Value, Interest Income will be recognized. If Cash Proceeds < Face Value, Interest Expense will be recognized.

Dishonored Notes Receivable

If the maker of a note fails to pay the debt on the due date, the note is said to be dishonored. A dishonored note receivable is no longer negotiable, and for that reason the holder usually transfers the claim, including any interest due. At this time the bank will get the whole amount from endorser. Dishonored notes can be:

1. Before Discounting the Note

Example 8.10: If the XYZ Company received a 10,000, 60 days, 12% note and recorded on December 11, 1995 had been dishonored at maturity, the entry to charge the note, including the interest back to the customer's (ABC company) account would have been as follows:

Feb. 9, 1995:	Accounts Receivable – ABC Co.....	10,200.00	
	Notes Receivable.....		10,000.00
	Interest Income.....		200.00

2. After Discounting The Note:

Example 8.11: Br 10,000, 60 days, 12% notes discounted on December 21, had been dishonored by the maker on maturity. The necessary journal entry in the book of endorser (XYZ Company) is:

Feb. 9, 1995:	Accounts Receivable – ABC Co.....	10,200.00	
	Cash.....		10,200.00

Assume the bank charges endorser a protest fee of 10 birr and the endorser, who in turn charges it to the maker of the note in example 2, the journal entry in the book of endorser (XYZ Company) is:

Feb. 9, 1995:	Accounts Receivable – ABC Co.....	10,210.00	
	Cash.....		10,210.00

8.4) Accounting for Uncollectible Accounts

When merchandise or services are sold with out the immediate receipt of cash, a part of the claims against customers is proves to be uncollectible. The operating expense incurred because of the failure to collect receivable is called an expense or a loss from ***uncollectible accounts, doubtful accounts, or bad debts***. There are two methods: (1) The Allowance Methods/Reserve Method and (2) Direct Write off Methods/Direct Charge off Method

8.4.1) Allowance Method:

This method makes a provision for possible future uncollectible amount in advance. This procedure requires you to make an estimate about possible uncollectible amounts and recognize this in the record as an adjustment to account receivable account at the end of every accounting period. The journal entry for the estimated amount is:

Uncollectible Account Expense.....	XXXX X	
Allowance for Doubtful Accounts.....		XXXX X

Note: Uncollectible accounts expense is generally reported on the income statement as an administrative expense. Allowance for doubtful accounts is the amount to be deducted from A/R to determine net realizable value.

Partial Balance Sheet Presentation

Current Asset:	
Cash.....	XXXXX
Accounts Receivable XXXXX	
Less: Allowance for Doubtful Accounts <u>XXXXX</u>	XXXXX

Write-off to the Allowance Account

During the year, as more accounts or portions of accounts are determined to be uncollectible, it is written off against allowance for doubtful accounts.

When an account is believed to be uncollectible, it is written off against the allowances account as follows

Allowance for Doubtful Accounts.....	XXXX X	
Accounts Receivable.....		XXXX X

- The total amount written off against the allowance account during the period will rarely be equal to the amount in the account at the beginning of the period
- The allowance account will have a credit balance at the end of the period if the write offs during the period amount to less than the beginning balance
- It will have a debit balance if the write the write offs exceed the beginning balance
- After the year-end adjusting entry is recorded the allowance account will have a credit balance

Reinstatement of Write-off Entry

An account receivable that has been written off against the allowance account may later be collected. In such cases, the account should be reinstated as:

Accounts Receivable.....	XXXX X	
Allowance for Doubtful Accounts.....		XXXX X

Example 8.12: ABC Company's account receivable has a balance of Br 25,000 at the end of the period. Based on study, it is estimated that a total of Br 2,000 will be uncollectible. The Adjusting Entry on December 31

Uncollectible Account Expense.....	2,000.0 0	
Allowance for Doubtful Accounts.....		2,000.0 0

Account Receivable..... 25,000.00

Less: Allowance for doubtful account..... 2000.00

Net Realizable Value of account receivable..... **23,000.00**

Assuming Br 500 of the receivables is believed to be uncollectible and is written off on January 10, the entry would as follows:

Allowance for Doubtful Account.....	500.0 0	
Accounts Receivables.....		500.0 0

Account receivable..... 24,500.00

Less: Allowance for Doubtful Account..... 1,500.00

Net Realizable Value of Account Receivable..... **23,000.00**

Note: there is no change in net realizable value of account receivable.

Further assume that the Br 500 written-off in the preceding journal entry is later collected. The entry to reinstate the account would be as follows:

Accounts Receivables.....	500.0 0	
Allowance for Doubtful Account.....		500.0 0

Estimating Uncollectible

The estimate of uncollectible at the end of the fiscal period is based on past experience and forecasts of future business activity. The two methods to estimate uncollectible are:

1. Estimate Based on Credit Sales
2. Estimate Based on Analysis Age of Receivables

1. Estimate Based on Credit Sales

The probable amount of the accounts that will be uncollectible is estimated based on credit sales. The amount of this estimate is **added to whatever balance exists** in allowance for doubtful accounts.

Example 8.13: Assume that the allowance account has a credit balance of Br 1,500 before adjustment. The credit sales for the year is Br 100,000 and it is known from past experience 1% of the credit sales will be uncollectible. Therefore, the adjusting amount will be = 1% @ 100,000= Br 1,000

Uncollectible Account Expense.....	1,000.0 0	
Allowance for Doubtful Accounts.....		1,000.0 0

After adjusting entry is posted, allowance for doubtful account has Br 2,500 credit balance.

If the balance of Allowance for Doubtful Account had been a debit balance of Br 300, the amount of the adjustment would still have been Br 1,000 (that is 1% @ 100,000)

Uncollectible Account Expense.....	1,000.0 0	
Allowance for Doubtful Accounts.....		1,000.0 0

After the adjusting entry is posted, allowance for doubtful account has Br 700 debit balance.

Note: a newly established business enterprise, having no record of credit experience, may obtain data from trade association journals and other

publications.

2. Estimate Based on Analysis of Age of Receivables (Aging of Receivables)

There are some steps in aging of receivables methods:

1. Classify account receivable by age(days that receivables past due)
2. Provide percentage provision for uncollectibility
3. Apply the percentage

Example 8.14:

Age Interval	Amount of Receivable	Est. Percentage of uncollectible	Amount of Uncollectible
Not due	60,000	1%	600
1 – 30 days	15,000	2%	300
31 – 60 days	10,000	10%	1,000
61 – 90 days	8,000	25 %	<u>2,000</u>
The Estimate of Uncollectible			<u>3,900</u>

The estimate of uncollectible account is 3,900. This amount is the **desired balance** of the Allowance for Doubtful Account after adjustment. Therefore, the adjustment will be determined taking into account the existing balance of the Allowance for Doubtful Account. Assume, the Allowance for Doubtful Account has a **credit** balance of Br 1,500 before adjustment. The adjusting entry will be by Br 2,400 (3,900 – 1,500)

Uncollectible Account Expense.....	2,400	
Allowance for Doubtful Accounts.....		2,400

After posting is made, the Allowance for Doubtful Account has a credit balance of Br 1,500 + 2,400 = Br 3,900. If there had been a **debit balance** of Br 300 in the Allowance for Doubtful Account before the year end adjustment, the amount of the adjustment would have been 4,200 (3,900 + 3,00=4,200)

Uncollectible Account Expense.....	4,200	
Allowance for Doubtful Accounts.....		4,200

After posting is made, the Allowance for Doubtful Account has a credit balance of Br 3,900.

8.4.2) Direct Write-off Methods

It is useful when:

1. A particular customer is known
 2. Bankruptcy notice is available
 3. There is a continuous correspondence with customers
 4. There is disappearance of a customer through death
- The entry to write off an account when it is believed to be uncollectible is as follows:

Uncollectible Account Expense.....	XXXX X	
Accounts Receivables.....		XXXX X

- If an account that has been written off is collected later, the account should be reinstated.
- If the recovery is in the same fiscal year as the write off, the entry to reinstate is

Accounts Receivables.....	XXXX X	
Uncollectible Account Expense.....		XXXX X

- If the recovery is made in the subsequent fiscal year, it may be reinstated by an entry illustrated below:

Accounts Receivables.....	XXXX X	
Recovery of Written-off Uncollectible Account.....		XXXX X